

Introduction to tax returns [¶2-010]

[¶2-010]

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The provisions governing the liability to furnish returns of income are contained in Pt [3](#) of the Tax Administration Act 1994 (TAA).

Every taxpayer must furnish a return of income for a tax year. An exception applies from 1 April 2025 — entities that derive only exempt income are not required to file income tax returns.

For qualifying individuals, a pre-populated account is prepared by Inland Revenue (IR), containing the income information IR holds for the taxpayer. This pre-populated account is used to create an assessment and the taxpayer's tax position is effectively automatically calculated. Refunds are paid out without taxpayers having to request them, and certain amounts of tax to pay are written off.

The rules are discussed in detail in [¶2-016](#) below.

Companies and persons carrying on business for any part of an income year must furnish returns, regardless of whether they have incurred a profit or a loss. Equally important is the capacity in which an individual has received income. For example, an individual might derive income personally, as the agent for a non-resident, in the capacity of trustee or as a member of a partnership. Different tax returns are required in each case. See [¶2-015](#).

A return must be signed, contain all necessary information, and be accompanied by all necessary documents. The obligation is discharged only when the return is received by an IR office.

Law: TAA Pt [3](#), ss [33](#), [40](#)

Last reviewed on 31 December 2025

Form and content of return [¶2-015]

[¶2-015]

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General content

A return must contain the information and must be accompanied by all the documents required under any of the IR Acts. This includes a notice of self-assessment. In practice, IR tax return forms contain a notice of self-assessment and declaration at the end of the form. Returns must be signed. For returns furnished electronically, an electronic signature is sufficient if the requirements in s [13B](#) are met ([¶1-645](#)). Persons need not personally fill out and sign their own returns. A return made by or on behalf of any person is deemed to have been made by the person or on their authority, unless the contrary is proved ([¶2-036](#)).

Return types

The main returns are as follows.

Individuals

- # Form [IR3](#) is for self-employed individuals and others who pay provisional tax on investment or business income (including partners). Some private domestic workers (eg nannies or gardeners) who pay tax as [IR56](#) payers may have to file an [IR3](#) return.
- # Form [IR3B](#) (supplementary to form [IR3](#)) is for business or professional taxpayers trading on their own account with business income, who are required to analyse their income and deductions.
- # Form [IR3F](#) (supplementary to form [IR3](#)) is for taxpayers carrying on a farming business on their own account.
- # Form [IR3NR](#) is for non-residents.
- # Form [IR 3R](#) (supplementary to form [IR3](#)) is for taxpayers who are landlords with rental income.

Companies

- # Form [IR4](#) is for companies, incorporated societies, public authorities, unit trusts, certain group investment funds and state enterprises liable for tax. (Note that only one return is required for companies within a consolidated group.)
- # Form [IR4J](#) is used if the company is required to keep an imputation credit account.
- # Form [IR4S](#) is for company shareholders' details.
- # Form [IR10](#) is for company financial statements summary (accompanies the [IR 4](#) if financial statements are not filed with the [IR 4](#)).

Trusts and estates

- # Form [IR6](#) is for trustees in relation to trust and estate income. (When an estate has income from a business, form [IR3B](#) can also be used.)
- # Form [IR6B](#) is required if income is distributed to beneficiaries.
- # Form [IR6S](#) documents settlors, and their settlements, details.
- # Form [IR6P](#) is required if any person has the powers of appointment.
- # Form [IR307](#) is used if distributions of beneficiary income or taxable distributions are made to beneficiaries from a foreign or non-complying trust.
- # Form [IR900](#) is for trustees of a foreign exemption trust.

Partnerships and look-through companies (LTCs)

Form [IR7](#) is for partnerships and LTCs. Form [IR7P](#) is used for partnership income/loss distribution and [IR7L](#) is used to show the LTC income/loss distribution. In addition, partnerships and LTCs must also file one of the following:

- # a financial statements summary (form [IR10](#))
- # a set of the partnership's financial statements
- # a completed form [IR3F](#) (farming) or [IR3B](#) (business income), if applicable.

Each partner or LTC owner must file a personal tax return (form [IR3](#)) with all income including a share from the partnership or LTC. The partnership or LTC is not assessed for tax, but each partner or owner is liable to pay tax on their share of income.

Other

- # Form [IR8](#) is for Māori authorities.
- # Form [IR9](#) is for clubs and societies.
- # Form [IR44](#) is for registered superannuation funds.
- # Form [IR44E](#) is for group investment funds.

An individual may be required to file several different returns according to the particular capacities in which they act.

Example:

Mr TP is a partner of a four-member law firm. He owns several properties in his own name which he rents out. He also acts as a trustee for several trusts established on behalf of his clients. Mr TP would need to ensure that he filed the following returns of income:

- # form [IR3](#), which would include his share of partnership income and the rents received from his properties
- # form [IR6](#), of which a separate form would need to be filed for each of the trusts for which Mr TP acts as trustee
- # form [IR6B](#), if any income is distributed to beneficiaries, and
- # form [IR7](#), which would include the income earned by the law firm of which Mr TP is a partner.

As a variation on these facts, if some of the rental properties were owned by a family company, Mr TP would need to ensure that the following returns were also filed:

- # form [IR4](#), which would include the rental income earned by the family company, and
- # form [IR4J](#).

Law: TAA ss [13B](#), [33\(2\)](#), [34](#), [40](#), [42](#)

Last reviewed on 31 December 2025

Individuals' year-end tax obligations [¶2-016]

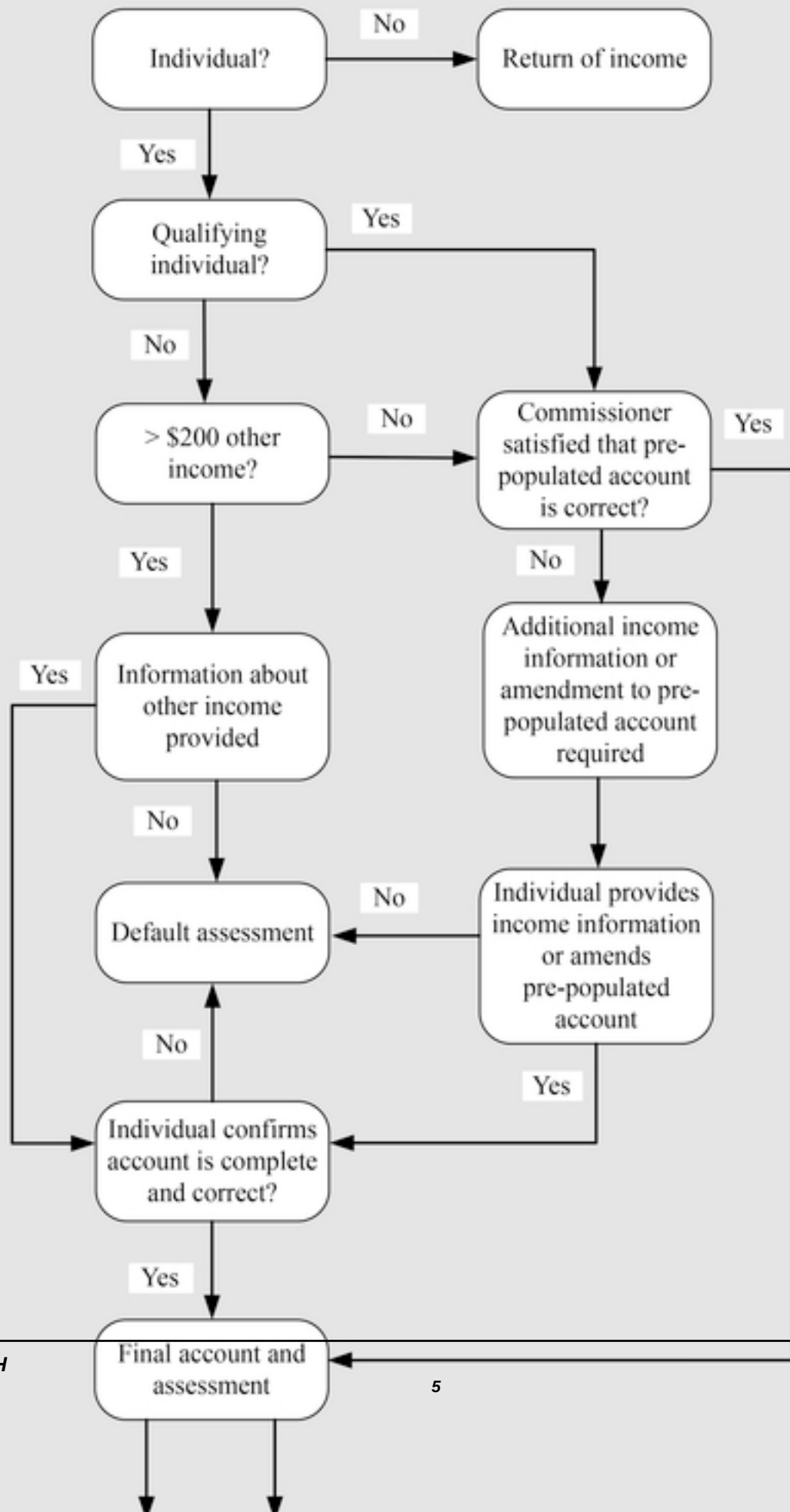
[¶2-016]

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A simplified process contained in Pt 3, subpart 3B of the TAA applies to certain qualifying individuals to meet their year-end tax obligations.

By receiving regular income information throughout the year, IR will ensure individuals are on the appropriate tax code or rate and that about the right amount of tax is withheld throughout the year. A pre-populated account based on all the income information held will then be created. For most individuals, their tax position (refund or tax to pay) will effectively be automatically calculated, as the Commissioner will use the pre-populated account to create an assessment once they are satisfied the information in the account is complete and correct. Essentially, only those people who earn income or have deductions that IR does not already know about will have to provide further information or file a return of income.

The legislation includes the following flowchart that outlines the scheme of the subpart:



The following discussion outlines the end-of-year process in more detail.

Qualifying individuals

The subpart [3B](#) process only applies to individuals. For these purposes, “individual” means a natural person and includes non-residents, unless their only income for the income year is non-residents' foreign-sourced income. When a natural person dies, they are only included as an individual until their date of death.

Where an individual derives only “reportable income” for an income year and has no other income information that must be provided to the Commissioner, they will be a “qualifying individual”. Generally, a qualifying individual will have their tax position automatically calculated for them.

Example:

John earns a salary of \$70,000 per annum. His employer deducts PAYE correctly and remits this to IR. John does not earn any other income.

Per [s 22E](#), the Commissioner includes this income information in John's pre-populated account for the tax year. As IR has no information that suggests John might be earning other income or reason to suspect the reportable income is incorrect, the Commissioner is satisfied that the information set out in John's pre-populated account correctly and completely records his income for the tax year and, at the end of the tax year, finalises his account in accordance with [s 22H\(1\)](#).

John is not required to do anything and will receive an email notification informing him that his notice of assessment is available via myIR. The notice of assessment informs John that IR has calculated his assessment and that, in his case, he has no further tax to pay and is not due a tax refund as the correct tax was withheld by his employer.

Example:

Adam works part-time at the local supermarket, and as he really loves cars and is a keen mechanic, in his spare time he fixes cars for his friend Brad's auto garage. Adam gave Brad his IRD number and tax code when he first started at the garage, but he is not sure whether Brad accounts properly for any PAYE on his earnings as Brad is not an accountant and he's never seen a pay slip. But since he gets such a good wage and Brad is a mate, he just never asks Brad about it.

In July Adam mentions his recent tax refund to Brad, as he was so impressed it was sorted for him by IR, and Brad tells him that he doesn't account for any PAYE on what he pays Adam for his work at the garage.

When he gets home that day Adam is worried that not enough tax is being paid, so he logs in to his myIR account to check his earnings for the previous tax year. Sure enough he can see his supermarket earnings are correctly recorded, but the account does not show any of his income from the garage.

In this case the income he has earned as a mechanic is untaxed reportable income, and Adam knows that there is income missing (the earnings from the garage) [s 22F\(2\)](#) applies. This puts an obligation on Adam to tell IR about his missing income. If he does not tell IR, Adam would be in breach of [s 22F\(2\)](#) as he knows, or might reasonably be expected to have known, that an amount of income should properly be included in his final account for the tax year but is not.

In this situation, Adam should inform IR of the income information that is missing from his account. It is an absolute liability offence under [s 143\(1\)\(b\)](#) to not provide the Commissioner with information when required by law. Accordingly, Adam will be subject to penalties and interest on this undisclosed income if he does not inform IR and IR later finds out about the income.

Examples taken from *Tax Information Bulletin* [1314-102](#) Vol 31, No 4, May 2019 at 8.

Reportable income

“Reportable income” covers sources of income that the Commissioner receives information on by way of third-party reporting during, or shortly after the end of, the year. This includes all PAYE income payments, payments of resident and non-resident passive income, certain benefits under an employee share scheme and attributed PIE income. From 1 April 2026, it also includes an assessable withdrawal amount from which a person has not chosen that a transfer scheme pays transfer scheme withholding tax. The payer must have the individual's tax file number (except in the case of certain jointly-derived income) and information on the income must be provided to the Commissioner by the prescribed due dates.

In the case of jointly-derived income, where the payer may only hold the tax file number of one of the individuals concerned, the requirement for a payer to hold an individual's tax file number will not apply provided the Commissioner is able to allocate an amount to the individual.

Income that is not an individual's reportable income is defined as their "other income" or "income other than reportable income".

Pre-populated accounts

The Commissioner is required to provide a "pre-populated account" for each individual for a tax year. Under s [22E](#), it must include:

- # all the income information held by the Commissioner for the tax year on reportable income, and
- # all the income information on other income amounts the Commissioner considers the individual has derived for the income year, including any income information provided by the individual.

An individual who has no reportable income for a tax year may ask the Commissioner to make available a pre-populated account with a zero balance so they may provide their income information for the tax year.

Obligations to provide information

Income other than reportable income

An individual must provide information to the Commissioner on income derived in the year that is not reportable income where the total amount of that income is more than \$200. Schedule [8](#), pt A, table 1 lists the following items on which information must be provided:

- # income from a New Zealand estate or trust
- # a foreign-sourced amount
- # income from a partnership
- # income from a look-through company
- # income from rents
- # income from self employment
- # a benefit under an employee share scheme in relation to an amount that is not reportable or exempt income
- # other income, including income from a disposal of property that is not otherwise included in reportable income.

An exception exists for income that is a benefit under an employee share scheme to the extent the individual's employer has included the relevant information in their employment income information.

In addition, an individual may provide information on the following additional amounts, listed in Sch [8](#), pt [A](#), table 2:

- # a deduction
- # an imputation tax credit carried forward
- # a tax loss
- # a donations tax credit
- # an amount of income protection insurance.

Example:

Ian works part-time as a mechanic. To supplement his income, Ian starts his own lawn mowing business on 1 March 2019. For the first month, Ian only earns \$188 in income from this venture. This means that, for the tax year ending 31 March 2019, Ian has less than \$200 of "other income" and is therefore not required to provide this information to IR. If Ian's lawn mowing business grew in the following tax year and he earned \$8,000, the entire amount would need to be reported to IR in his account for the year.

Example taken from *Tax Information Bulletin* [1314-102](#) Vol 31, No 4, May 2019 at 9.

Deceased individuals

Where a taxpayer dies and no administrator or executor is appointed, there will be no person who is legally obliged to provide the information on other income to the Commissioner and this could lead to the account not being finalised. To avoid this result, the legislation provides for the Commissioner to publish a list of persons who are considered likely to have a relationship with a deceased individual and that the Commissioner considers may be the sort of person who is best placed to provide the income information. The Commissioner may then allow a person from this list to provide, to the best of their knowledge, income information for the deceased in order to finalise their account.

The Commissioner has published this list of persons in operational statement, [OS 19/02](#), "Persons who are permitted to confirm an income statement of a deceased person or provide information to the commissioner to finalise the tax account of a deceased person", April 2019, as follows:

- # the widow or widower of the deceased person
- # a person who is the surviving civil union/de-facto partner of the deceased person
- # a child of the deceased person
- # a person who is entitled to administer the estate
- # a person related by blood or marriage and maintaining the deceased person's child/children
- # a person who has the custody and control of the deceased person's child/children.

Reportable income

An individual has no obligation to provide information in relation to reportable income that is not included in their pre-populated account unless the individual knows, or might reasonably be expected to have known, that the amount should properly be included in their final account.

Amending accounts

Amending by individuals

When incorrect information has been provided to the Commissioner or information is missing, an individual may amend income information in their pre-populated account at any time before the account is finalised.

A qualifying individual, however, may amend the income information in their final account at any time before their terminal tax date for the tax year without being charged interest (unless they are subject to the provisional tax regime) or penalties. In this case, any earlier assessment for the tax year is treated as not having been made. This will not apply if the Commissioner has reason to believe the amended information is incorrect. The Commissioner may decide not to accept the information as correct and provide a default assessment under s [106\(1A\)](#).

After their terminal tax date, any individual may ask the Commissioner to amend information in their final account under s [113](#).

Example:

Lauren is an accountant earning a salary. The only income information IR has received in relation to Lauren for the tax year is her salary income, and her earnings in previous tax years have always been consistent with this position. As such, IR has no reason not to be satisfied that the information in Lauren's pre-populated account is correct and complete and her account is therefore finalised on 15 May 2019 in accordance with s [22H](#).

What IR does not know is that Lauren earned \$2,000 during the 2018–19 tax year regularly babysitting for a friend. On 1 November 2019 Lauren logs into her myIR to add this "other income" information.

Although by virtue of adding this "other income" information into her final account Lauren is no longer a "qualifying individual", she was treated by IR as a qualifying individual and therefore still falls within s [22G\(3\)](#) for the correction of post-assessment errors by qualifying individuals. This means that when Lauren logs in on 1 November 2019 to add additional income information, this is not treated as an amended assessment but rather as a new assessment. The assessment that resulted when IR finalised her account on 15 May 2019 is regarded as not having been made. Lauren will now have until her terminal tax date to pay any resultant tax bill and will not be subject to any penalties or interest provided that the amount due is paid on time.

In the following year she is likely to be prompted to provide additional income information so that IR can confirm whether she has continued to earn other income from babysitting.

Example taken from *Tax Information Bulletin* [¶314-102](#) Vol 31, No 4, May 2019 at 12.

Amending by the Commissioner

The Commissioner may correct errors in the information in an individual's pre-populated account. The Commissioner must notify the individual of any amendment.

The Commissioner may also correct errors in the information in a qualifying individual's final account at any time before the end of the time bar period in s [108\(1\)](#). The qualifying individual must be notified of the amendment. However, if the Commissioner wishes to make an adjustment to the information of an individual other than a qualifying individual, the Commissioner must issue a notice of proposed adjustment under the dispute resolution process.

Example:

Rachel is a qualifying individual earning salary and wages. Her tax position is automatically calculated by IR for the 2018–19 tax year and it is determined that she has tax payable of \$100. Rachel pays this amount before her terminal tax date of 7 February 2020.

On 1 March 2020 IR realises that a mistake has been made in calculating Rachel's tax position for the 2018–19 tax year because her employer contacts IR to correct several periods of employment income information. Instead of having \$100 tax payable, Rachel actually had \$300 of tax payable, because her employment income information has been incorrectly reported.

Section [22G\(6\)](#) means that IR can amend Rachel's return and issues her with a tax bill for the additional \$200. Rachel is given an additional 30 days, commencing on 2 March 2020, to pay this additional \$200 (see s [142AB](#)).

Example taken from *Tax Information Bulletin* [¶314-102](#) Vol 31, No 4, May 2019 at 15.

Finalising accounts

Qualifying individuals

If the Commissioner is satisfied that the income information of a qualifying individual for a tax year, as set out in their pre-populated account, correctly and completely records their income for the year, the Commissioner may finalise the individual's account.

If the Commissioner requests income information from a qualifying individual, the individual may correct any errors in their reportable income information and finalise their account by confirming the adjusted income information correctly and completely records their income for the year.

Other individuals

Individuals, other than qualifying individuals, may:

- # adjust their pre-populated account by providing the information income required on their other income
- # correct any errors in their reportable income information, and
- # finalise their account by confirming the adjusted income information correctly and completely records their income for the year.

The adjustment, correction or confirmation is due to be made by 7 July or if the individual has a late balance date, by the 7th of the fourth month after the end of the individual's corresponding income year (or a later date if they have an extension of time to file a return).

Example:

Roman studies at a university in Wellington and works part time at a local supermarket earning wages. When university is over for the year, Roman goes back home to Christchurch. For the last few years, Roman has operated a car washing business over

the holiday period which nets him about \$1,800 in additional income. Roman has filed an IR3 return for the previous tax years to account for this additional income.

On 1 April 2019, Roman's pre-populated account only includes his supermarket wages which have been reported to IR. Based on Roman's past returns, he has been an earner of "other income" in past tax years so IR does not automatically finalise Roman's account and instead prompts Roman to provide the additional information about his business earnings for the year.

On 15 June 2019 Roman logs into myIR and updates his pre-populated account to include his business income. Roman then confirms that his pre-populated account is complete and correct. Roman's account is finalised and his tax assessment crystallises, he is sent a notice of assessment which sets out the amount of tax he has left to pay.

Example taken from *Tax Information Bulletin* [1314-102](#) Vol 31, No 4, May 2019 at 10.

Effect of finalised account

The final account of an individual is treated as a return of income and an assessment, and the individual is treated as having made a statement of their tax position. The date of the assessment is the date the individual's pre-populated account is finalised.

If the individual does not satisfy the Commissioner that their income is correctly and completely recorded in their pre-populated account, the date the assessment is made is when the Commissioner provides a default assessment under s [106](#).

In either case, the Commissioner must notify an individual when the assessment is made.

Refunds and amounts of tax to pay

IR will automatically calculate whether individuals are entitled to a refund or have tax to pay. Refunds will be paid out without individuals having to request them. They will be paid by direct credit to a bank account, unless that will result in undue hardship or is not practicable.

Amounts of tax to pay by a qualifying individual will be written off by the Commissioner if:

- # the amount is \$50 or less, or
- # the amount relates to reportable income derived solely from a main benefit, an education grant, a payment of New Zealand superannuation or a veteran's pension.

No amount will qualify for a write off under the second bullet point above if the individual has received an entitlement and tax credit under the family scheme provisions.

The Commissioner may reverse the write off if the individual no longer meets the requirements.

Example:

Dan is a prison warden and earns \$50,000 per annum. When his father died, he was left an inheritance of \$20,000. Dan has this in a low risk term deposit with his local bank and earns 5% interest per year. When Dan set the term deposit up he used the most appropriate RWT rate for his expected income, which was 30%.

On 1 April 2018, Dan is promoted at work to senior warden, and now earns \$70,000 per annum. This means that Dan's marginal tax rate is now 33% and therefore, 33% is the appropriate RWT rate for Dan to be on to ensure that his interest income is taxed correctly.

Dan remains on the 30% RWT rate for the entire 2018–19 tax year. It follows that the \$1,000 in interest that he earns from his term deposit would have been under withheld by \$30, leaving him with tax to pay of \$30.

When the new individuals' income tax changes kick in on 1 April 2019, Dan, as a reportable income earner who has never had any other income, has his assessment finalised by the Commissioner. This leaves Dan with a \$30 tax bill, but this is written off automatically as it is under \$50.

After Dan's tax position has been squared up, Dan realises that he fixed his neighbour's car in March and was paid \$1000 for his handy work. Dan logs onto myIR and makes an amendment to submit the \$1,000 of other income. Dan's tax position is recalculated, and he has a tax bill of \$360.00. This is comprised of 33% tax on \$1000 at Dan's marginal rate (or \$330) and, because Dan is now no longer an individual who solely earns reportable income, Dan no longer meets the requirements for the \$30.00 write off he received. The write off is therefore reversed as per new s [22J\(2\)](#).

Example taken from *Tax Information Bulletin* [1314-102](#) Vol 31, No 4, May 2019 at 31.

If a qualifying individual has tax to pay solely because they have had an extra pay period, that amount of tax to pay will be written off. However, write offs will also be denied in certain circumstances where the Commissioner has recommended a change to a higher tax code or rate or the individual has used a tailored tax code, and where the amount payable is a result of the incorrect application of the tax rules or the application of an incorrect marginal tax rate to certain specified types of income. The Commissioner may, however, still write off an amount in these circumstances if the amount is not substantial and represents an underpayment of tax that is attributable to a function or operation of the tax collection rules.

For a detailed discussion of an individual's year-end tax obligations under Pt 3, subpart 3B of the TAA and further examples of how the provisions work, see *Tax Information Bulletin* ¶314-102 Vol 31, No 4, May 2019 at 4-37.

Law: TAA ss [22C-22M](#), [106](#), [184A](#), Sch [8](#)

Last reviewed on 31 December 2025

Dates for furnishing returns [¶2-017]

[¶2-017]

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The due dates for the filing of annual returns of income are:

- # 7th day of the 4th month after the end of the person's corresponding income year for any person with a late balance date (ie 1 April to 30 September), and
- # 7 July for all other persons.

Note that these dates do not apply to persons who have their returns prepared and filed by tax agents. ([¶2-018](#)).

For these purposes, an annual return for an individual subject to the pre-populated account provisions in Pt [3](#), subpart [3B](#) of the TAA ([¶2-016](#)) will be their finalised account.

When received in time

A tax return is treated as being filed only when it has been received at an IR office.

Example:

This section was considered by the Taxation Review Authority where it was held that a tax return was delivered to the Commissioner when it was received at his private bag at the Post Office. See Case T23 ([1997](#)) 18 NZTC 8,148.

Law: TAA ss [37\(1\)](#), [40\(3\)](#)

Last reviewed on 31 December 2025

Extension of time to file returns [¶2-018]

[¶2-018]

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Any person can apply to the Commissioner for an extension of time to furnish an annual income return. This is likely to occur where the person does not have an extension of time arrangement through a tax agent (see below). Provided the application (which can be made verbally or in writing via MyIR) is made before the due date for filing the return, the Commissioner may grant the extension if appropriate after reasonable consideration of the person's circumstances". Standard practice statement [SPS 24/02](#), "Extension of time applications from customers without tax agents", gives the following examples of reasons IR considers appropriate for extending the filing date:

- # the person is unable to obtain the necessary information to file the return (eg is waiting to receive information from IR)
- # the person is overseas and needs extra time to prepare a return due to factors beyond their control
- # ill health, hospitalisation or injury of the person, and
- # the person is awaiting the finalisation of financial statements for a related person.

IR will also take into account the person's history of filing returns.

Provision has been made for the situation where a systems issue arises for an IR digital platform that prevents a person, or class of persons, from providing a required return or income information. The Commissioner can grant a proportionate extension of time if it is considered proper in the circumstances.

Tax agents

The Commissioner can also grant extensions to tax agents. A tax agent is a person who is eligible to be a tax agent and who is listed as a tax agent by the Commissioner. To be eligible to be a tax agent, the person must prepare the returns for 10 or more taxpayers and be a person who is:

- # a practitioner in a professional public practice
- # carrying on a business, occupation or employment in which returns of income are prepared, or
- # the Maori Trustee.

To be listed as a tax agent the Commissioner must be satisfied that the person is entitled to be a tax agent and that the listing will not adversely affect the integrity of the tax system.

An individual has to apply to be an agent, tax agent or intermediary online through MyIR. A list of 10 or more return-filing clients must accompany the application and a copy of the authority to act template that the tax agent proposes using. A copy of the individual's authority letter also needs to be attached.

Operational statement [OS 25/03](#), "Authority to Act for Tax Agents, Representatives and Nominated Persons: Access to a Client's Inland Revenue Information" sets out the prescribed manner by which a tax agent can obtain the authority to act from clients. Authority is required as the agent, the tax agent or representative has direct access to sensitive revenue information held in their client's IR accounts. IR requires agents to have express legal permission to act on their client's behalf and access the information. The authority to act can either be in a written form or in electronic form. [OS 25/03](#) also contains additional guidance on procedures to be followed when verifying the identity of a person when onboarding electronically.

For a non-individual, or entity, each key office holder must complete a "Statutory declaration for an intermediary" ([IR768](#)).

The Commissioner may extend the time for filing for tax agents to not later than one of the following days:

- # where the return is for any year ending between 30 September and the following 31 March, the day is the next succeeding 31 March, or
- # where the return is for any year ending between 31 March and 1 October, the day is the following 31 March.

The Commissioner may cancel an extension of time arrangement if a tax agent has not filed the required number of tax returns by the dates that the Commissioner has specified. If a tax agent has not negotiated personal guidelines, then the standard interim dates set by the Commissioner apply. For example, in relation to the filing of income tax returns, IR has set three standard filing dates throughout the year (in September, November and February) by which tax agents have to file a certain percentage (40%, 60% and 80%) of their clients' tax returns. These dates apply if the agent has not negotiated their own particular filing dates. The outcome is that the Commissioner can cancel the extension of time arrangement if these targets are not met.

Law: TAA ss [37](#), [124C](#), [124E](#), [124G](#)

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Electronic filing of returns [¶2-019]

[¶2-019]

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The Commissioner may give approval to any person or GST-registered person and/or the person's agent to file information electronically. The return must be filed in the prescribed format and approval may be subject to any conditions specified by the Commissioner.

Where the return has been filed electronically, a signed, hard-copy of the return does not need to be retained if the information is kept in an electronic form meeting the requirements of s 229 of the Contract and Commercial Law Act 2017. The information must be retained for at least 7 years.

An agent may sign any hard-copy form of a return where the return is filed electronically.

IR is able to accept most income tax returns, employment income information and correspondence by electronic means, including details required under the provisional tax pooling provisions or in relation to the operation of the person's environmental restoration account. The Commissioner requires electronic filing of GST returns (see below). FBT returns (¶21-030) can also be filed online. A return or information furnished by electronic means must be transmitted in an electronic format prescribed under s 33E, 35, 36, 36BB, 36BC, 36BD or 36BE of the TAA 1994 (s 36C).

Employers with a combined PAYE and employer's superannuation contributions tax bill of \$50,000 or more for the preceding tax year, must submit their employment income information digitally unless they obtain a special dispensation from the Commissioner (¶3-023). There is a penalty for non-electronic filing (¶14-045).

Supplementary returns for the research and development credit must be filed through the taxpayer's MyIR (s 33E and ¶11-150).

GST returns required electronically

With effect from 29 March 2018, s 36BD provides for the setting of a taxable supplies threshold above which GST-registered persons are required to file their GST return with IR electronically in a prescribed format. The threshold will be set separately by Order in Council, but this has not occurred yet.

GST-registered persons below the threshold will still be able to voluntarily file electronically.

The Commissioner may exempt a registered person, or class of registered persons, from the electronic filing requirements. The Commissioner must have regard to:

- # the nature and availability of digital services to the person or persons in the class, including the reliability of those services for their purposes
- # the capability of the person or class of persons relating to the use of computers, and
- # the costs they would incur in complying with the requirements if those costs would be unreasonable in the circumstances.

The Commissioner must provide a statement of reasons for the exemption. Generally the exemption remains valid until the Commissioner notifies the registered person that it is to be cancelled, in which case it expires six months after the date given in the notice. However, the Commissioner may set a time limit on the exemption when it is made.

Although the provision applies from 29 March 2018, it will only affect taxpayers once a threshold has been set.

Law: TAA ss 22AAC, 36, 36BD, 36C, 36D, 40

Last reviewed on 31 December 2025

Miscellaneous returns [¶2-020]

[¶2-020]

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Individuals who are required to furnish a return of income must select the return of income form appropriate to their circumstances. There are a number of different forms prescribed for different persons; for example, fringe benefit tax returns and GST returns where the individual or entity is an employer and/or registered for GST.

The Commissioner has the power to requisition the following returns:

- # an annual ICA return from companies for any period specified by the Commissioner
- # returns from companies, local or public authorities in relation to interest paid on debentures
- # special returns from certain taxpayers (eg agents, non-residents, trustees and executors — see further under [¶2-050](#)).

In addition to the specific filing requirements set out above, the Commissioner is empowered to request any further annual or other return from any person (taxpayer or not) for the purposes of the TAA or the [Income Tax Act 2007](#) (IT07) ([¶2-050](#)).

Law: TAA ss [62](#), [70](#), [79](#), [80](#)

Last reviewed on 31 December 2025

Non-active companies and returns [¶2-026]

[¶2-026]

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Non-active companies may elect not to file a return. To apply for the exemption, a company must declare that it is a non-active company and that it will notify the Commissioner if it ceases to be so. A non-active company for these purposes is one that has not derived any income, has no deductions, has not disposed, or deemed to have disposed, of any assets and has not been a party to any transaction that gives rise to deemed income in any person's hands, a debit to the company's imputation account, or fringe benefit to an employee. Companies incorporated for name protection purposes or to be available as shelf companies will generally be entitled to the concession. Note that no account is taken of statutory company filing fees or associated accounting or other costs, bank charges or other minimal administration costs totalling not more than \$50, or bank interest totalling less than the bank charges.

Where a company ceases to be non-active the Commissioner must be notified, along with information regarding any tax losses and change in ownership. The Commissioner has the power to require a non-active company to file a tax return or imputation return despite the company's status as a non-active company.

A New Zealand-resident company with a standard balance date is not required to file an imputation credit account return for a tax year during which it is a non-active company. Similar concessions exist for New Zealand-resident companies with non-standard balance dates.

Law: TAA s [43A](#)

Last reviewed on 31 December 2025

Non-active trusts and returns [¶2-027]

[¶2-027]

[Click to open document in a browser](#)

Non-active trusts and deceased estates may elect not to file a return. In the case of a trust, the trust must be a non-active complying trust. If the trust or estate has an IRD number, a trustee or administrator/executor must have declared that the trust or estate is non-active and that it will notify the Commissioner if it ceases to be so.

A trust or an estate is non-active if, throughout the tax year, the trustee, executor or administrator:

- # has not derived any assessable income
- # has no deductions, and
- # has not been a party to, or perpetuated or continued with, any transactions with assets of the trust with a person associated to the trust that, during the tax year, give rise to income in that person's hands or fringe benefits to that person as an employee or former employee.

Certain minimal amounts of income or deductions can be ignored in determining whether a trust or estate is non-active. This includes:

- # reasonable fees paid to professional trustees to administer the trust
- # up to \$1,500 of bank charges or other minimal administration costs in the tax year
- # up to \$1,000 of income derived during the tax year that would be reportable income, if the trust or estate were an individual in the tax year, or
- # insurance, rates, interest and other expenditure incidental to the occupation of a dwelling owned by the trust and incurred by the beneficiaries of the trust.

Where a trust or estate ceases to be non-active, the Commissioner must be notified. The Commissioner retains the power to require a non-active trust or estate to furnish a return despite its non-active status.

Testamentary trusts

A testamentary trust that does not meet the criteria in s [43B\(1\)](#) as set out above may nevertheless be excused from filing an income tax return if all of the following criteria are met:

- # the testamentary trust is a complying trust ([¶25-245](#))
- # if the trust has an IRD number, a declaration is provided to IR in an approved form ([IR633](#)) stating that the trust meets the requirements to be excused from filing a return and if these requirements cease to be met, IR will be notified
- # the trust has not derived any assessable income, or any reportable income (if the trust was an individual) that exceeds \$5,000, and
- # if the trust derives non-reportable income, the amount of non-reportable income does not exceed \$1,000, and net non-reportable income does not exceed \$200 taking into account any available deductions.

Law: TAA s [43B](#)

Last reviewed on 31 December 2025

Filing requirement for a non-resident [¶2-035]

[¶2-035]

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An individual who is regarded as non-resident for New Zealand income tax purposes must file a return of income ([IR3NR](#)) showing all income derived from New Zealand. The exception is if non-resident withholding tax (NRWT) was imposed on that income and that tax is treated as a final tax (not all forms of NRWT tax are a final tax). The tax position relating to a non-resident is more fully described beginning at [¶26-400](#).

If an individual is a New Zealand resident for income tax purposes for part of the tax year, the individual is required to file only an [IR3](#) (resident return) for the year.

A non-resident employer may have employment-relating filing obligations in respect of cross-border employees that perform work in New Zealand ([¶3-367](#) and [¶26-400](#)).

Last reviewed on 31 December 2025

Agents and returns [¶2-036]

[¶2-036]

[Click to open document in a browser](#)

Filing requirements

An agent may be required to furnish a return, make an assessment and satisfy all tax liabilities on behalf of a principal. The Commissioner may treat a relationship between two persons engaged in business as a principal and agency situation. This might arise through either overseas or local control of a New Zealand business actually conducted by another. Agency status for tax purposes is attributed in the following circumstances:

- # a guardian or a manager of a person under disability (s [HD 9](#))
- # a mortgagee in possession of income derived on behalf of a mortgagor (s [HD 10](#))
- # a nominated company in respect of a consolidated group or an imputation group (s [HD 11](#))
- # a trustee for income of beneficiaries (excluding a beneficiary of a community trust) (ss [HC 32](#) and [HD 12\(1\)](#))
- # a settlor of income tax payable by the trustee (s [HC 29](#))
- # a trustee of a unit trust in relation to income of the unit trust (s [HD 13](#))
- # a company using the AIM provisional tax method making tax payments for a shareholder–employee for the purposes of the residual income tax definition (s [HD 13B](#))
- # a debenture company in respect of income derived by debenture holders (s [HD 14\(1\)](#)) — in practice, however, a debenture company is able to avoid agency tax responsibilities for resident debenture holders by supplying the Commissioner with the certified list provided for by s [HD 14\(2\)–\(6\)](#)
- # a reconstituted company for outstanding tax of the original company (s [HD 15](#)).

With the Commissioner's agreement, a principal and an agent may agree that the principal will furnish a return that the agent would otherwise be required to furnish (and make an assessment and satisfy any income tax liability the agent would otherwise be required to meet) (s [HD 4](#)).

Sections [HD 18–HD 30](#) deal with agents for absentees and non-residents.

Law: IT07 ss [HC 29](#), [HC 32](#), [HD 3](#), [HD 4](#), [HD 6](#), [HD 9–HD 15](#)

Last reviewed on 31 December 2025

M#ori authority returns [12-037]

[12-037]

[Click to open document in a browser](#)

A M#ori authority is required to furnish an income tax return, and the investment income information for the payment of a distribution. A M#ori authority credit account return must also be filed unless the M#ori authority is a member of a consolidated imputation group and the imputation credit account of the member has a nil balance at all times during the relevant tax year ([124-335](#)).

Law: TAA ss [25I](#), [57](#), [69B](#), [70B](#), Sch [6](#)

Last reviewed on 31 December 2025

Third party service providers [¶2-038]

[¶2-038]

[Click to open document in a browser](#)

There are different types of third party service providers (in addition to tax agents) that IR may offer “special” or extended service offerings to in order to assist with their clients’ tax and social policy obligations or entitlements. These include representatives or nominated persons. The legislation sets out the eligibility requirements that a person must satisfy to be approved by IR as a representative or nominated person. IR may also withhold approval or disallow a person as a representative or nominated person when this action is necessary to protect the integrity of the tax system.

Representatives

Section [124D](#) sets out that a person is eligible to be a representative if they:

- # have signed authorities to act for 10 or more other persons in relation to their tax affairs, or in relation to their entitlements and obligations arising under social policy that is administered by IR, and
- # are in a business, occupation or employment in which they act on behalf of others in relation to their tax affairs or social policy entitlements and obligations
- # are carrying on a professional public practice dealing in matters relating to tax and social policy assistance, or
- # are in a business, occupation or employment in which they provide budget advisory services to other persons or claim entitlements to social policy assistance on behalf of other persons.

IR must approve the person as a representative if it considers that the person meets the above requirements and that approving the person as a representative would not adversely affect the integrity of the tax system. Approval can be revoked if it is considered that the person does not meet the relevant eligibility requirements, or that continuing to allow the person to act as a representative for others would adversely affect the integrity of the tax system.

If the person applying to be a representative is not a natural person, they must provide the Commissioner with the names of the following:

- # for companies, other than a closely held company, each person who has the duties of tax manager, chief financial officer, chief executive officer, or director
- # for closely held companies, each shareholder
- # for partnerships, each partner
- # for unincorporated bodies, each member.

If these names change, the person must notify the Commissioner within 12 months of the change.

The Commissioner may also request further information in relation to an application from any person applying and may obtain information relating to them from other persons.

Nominated person

A person may also nominate another person to act for them in relation to their tax affairs or social policy entitlements and obligations by informing the Commissioner and providing the following information:

- # their name, contact address and tax file number
- # the name of the nominated person and any other information that may lead the Commissioner to be satisfied about the identity of the nominated person
- # the relevant tax types of social policy entitlements and obligations for which the nominated person intends to act for them, and
- # the relevant start and end dates.

If the person making the nomination is not a natural person, they must also provide the name and position of a natural person for them.

IR may disallow a person's status as another's nominated person where continuing to allow the person to be a nominated person would adversely affect the integrity of the tax system. In addition, the Commissioner may disallow a person's status as a nominated person if the person is acting in a fee-earning or other professional capacity (ie as a tax agent) and continuing to allow the person to act as nominated person for another person would adversely affect the integrity of the tax system. However, this does not apply if the person is acting as a nominated person on behalf of their spouse, civil union partner, de facto partner, or a relative within two degrees of relationship.

Law: TAA ss [124D-124G](#)

Last reviewed on 31 December 2025

Returns of partners, trustees and others [¶2-050]

[¶2-050]

[Click to open document in a browser](#)

Partners and partnerships

Persons in partnership are required to make a joint return of their partnership income, and each partner must also make a separate return of the income derived from the partnership and from other sources. For these purposes, the partnership should complete form [IR7](#) and each individual partner should also complete form [IR3](#) ([¶2-015](#)). A person deriving income from a joint venture, other than as a partner, must individually return their share of that income.

A non-resident partner in a partnership is not required to file their own separate tax return if the partner:

- does not derive any New Zealand sourced income, or
- only derives non-resident passive income where NRWT is a final tax, or
- derives only income sourced from New Zealand that enjoys relief from taxation under a double tax agreement.

The above relaxation for the requirement to file returns applies from 1 April 2008, for income years commencing on or after 1 April 2008. However, it does not apply to a person in relation to an inconsistent tax position taken by the person in the period that starts on 1 April 2008 and ends on 26 August 2024.

In addition, if a partnership has a non-standard balance date, the partnership income and deductions may be treated as if the partner also has the same non-standard balance date for the purposes of filing the partner's return. Such an election is irrevocable while the partner remains a partner in the partnership, unless there is a change in the partnership's balance date.

Note: An amendment contained in the [Taxation \(Annual Rates for 2025-26, Compliance Simplification, and Remedial Measures\) Bill](#) provides that a partner will not have the option of the election discussed above if the partnership has a research and development tax credit under s [LY 4](#) of the IT07 for the corresponding tax year.

Trustees

A trustee of a trust who derives assessable income for a tax year must file a return of all income derived in the corresponding income year by the trustee as a trustee of the trust. Separate returns must be made when a person is trustee of more than one trust, even if the beneficiaries under those trusts are identical. Co-trustees must make a joint return of the income of the trust. However, non-active trusts may elect not to file a return ([¶2-027](#)).

From the 2021–22 income year, trustees are required to provide information on the financial position of the trust as part of the trustee's tax return. In addition, the Commissioner also has the power to request the information for certain prior years and to vary the information requirements for a trustee or class of trustees. See [¶25-560](#) for further discussion.

Special returns

The Commissioner also has power to require any person to make a return considered necessary for the purposes of the Act. The Commissioner may require a return to be made relating to a particular transaction or transactions or for any particular period, from an agent, a non-resident trader, a person who is believed to be about to leave the country or is discontinuing business or has ceased to derive income or is bankrupt, a company that is in liquidation, or the executors or administrators of a deceased estate in relation to the deceased's taxable income for their lifetime. The Commissioner also has the power to require a non-active

trust or a non-active company to file a tax return or an imputation return. These powers are not often used, but may be when the Commissioner considers that returns of income will not be made in the normal way.

Special returns are required from a person whose taxable income or loss for the tax year is reduced by, or affected by a reduction in, the amount of a deduction under s [DT 2](#) (arrangement for petroleum exploration expenditure and sale of property) or s [DS 3](#) (clawback of deductions for film reimbursement schemes) of the IT07.

A special return is also required from a person making required adjustments under s [EW 53](#) in relation to a financial arrangement designed to defeat the intention of the financial arrangements rules ([¶6-550](#)).

Law: TAA ss [42](#), [43\(2\)](#), [43A\(7\)](#), [43B\(5\)](#), [44](#), [44B](#), [59BA](#), [59BAB](#), [79](#), [80](#)

Last reviewed on 31 December 2025

Request for non-standard balance date [¶2-055]

[¶2-055]

[Click to open document in a browser](#)

Persons can apply to file tax returns on the basis of a corresponding income year that ends with their year-end. Generally, only a person carrying on a business will be given approval for a non-standard balance date. Any approved non-standard balance date continues to apply until the person requests that it be altered. The corresponding income year for a tax year is an income year that ends in the period starting on 1 October in the tax year and ending on 30 September immediately after the tax year. A person with an early balance date files a return for a tax year on the basis of a corresponding income year that ends on a date between 1 October and the following 30 March (both days inclusive). For a person with a late balance date, the corresponding income year ends on a date between 1 April and the following 30 September (both days inclusive).

Example:

Accounting year/Corresponding income year	Tax year
29 February 2025	31 March 2025
31 October 2025	31 March 2025
31 July 2025	31 March 2025

Example 2:

TP Ltd has an approved non-standard balance date of 31 August. Income derived during the year ended 31 August 2025 will constitute the company's income for the corresponding income year to the tax year ended 31 March 2025.

The Commissioner has the power to make any assessment considered to be necessary to give effect to the change in balance date.

The taxpayers listed below are excluded from adopting a non-standard balance date:

- a qualifying individual (broadly, those who only derive reportable income) whose final account for the tax year is treated under s 22I(1)(b) as an assessment (¶2-016), and
- a multi-rate PIE that does not calculate and pay tax using the provisional tax calculation option under s HM 44.

See also ¶2-065 and ¶2-070.

The Commissioner has set out their practice for considering applications for consent to a change in balance date for income tax purposes in Standard Practice Statement, [SPS 24/01](#), "Requests to change a balance date"..

How to make a request

Depending on the reason for a non-standard balance date, request for the change in balance date can be made using myIR secure online services, by telephone (0800 377 744), or by correspondence. [SPS 24/01](#) contains the following tables illustrating how different types of requests for the Commissioner's agreement to change a balance date can be made and information to be included in the request.

Table 1: Requests that can be made using myIR or by telephone or correspondence

Request reason	Information required (as relevant)
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Business wanting a recognised industry balance date	# Full name of taxpayer seeking the change of balance date # Taxpayer's IRD number (if already registered) # Balance date sought # Reasons for election to change balance date # Income year the new balance date is to apply from # Name of taxpayer's tax agent # Related entity's name, IRD number and nature of relationship with the taxpayer (where taxpayer wants to adopt a balance date in common with a related entity) # Details of financial reporting obligations and balance date used for these obligations (where taxpayer has financial reporting obligations to a balance date set by the Financial Reporting Act 2013 (FRA))
Shareholder–employee wanting the same non-standard balance date as a company to which their shareholding relates, where earnings from the company are their primary source of income	
Continuing estate wanting a balance date coinciding with deceased taxpayer's date of death	
Subsidiary company wanting to align balance date with a parent company	
Non-resident wanting a balance date applicable in their country of residence, where they perform business activity in New Zealand but have a centre of management outside New Zealand (this does not apply to taxpayers only earning passive investment income)	
Previously tax-exempt entity wanting to continue to use a balance date consistent with that used for financial reporting purposes	
Māori taxpayer or business wanting a 30 June balance date to align with Māramataka Māori, where financial planning, cashflow, and accounts are aligned with this date	

Table 2: Requests that must be made using myIR or by correspondence

Request reason	Information required (as relevant)
Taxpayer wanting a non-standard balance date due to the specific circumstances of their business activity	# Full name of taxpayer seeking the change of balance date # Taxpayer's IRD number (if already registered) # Balance date sought # Reasons for election to change balance date # Income year the new balance date is to apply from # Name of taxpayer's tax agent # Details of cash flows # Details of stock patterns # Details of any significant business transactions that will affect the taxpayer's tax liability for the current financial year # Other evidence to show financial information prepared to requested balance date will be more appropriate for the taxpayer # Where businesses claim they have a close working relationship and share a common accounting system or central administration structure, evidence to support this assertion # Related entity's name, IRD number and nature of relationship with the taxpayer (where taxpayer wants to adopt a balance date in common with a related entity) # Details of financial reporting obligations and balance date used for these obligations (where taxpayer has financial reporting obligations to a balance date set by the FRA)
Taxpayer wanting to change balance date as their circumstances have changed significantly and a balance date previously agreed to is no longer appropriate	
Taxpayer wanting to align balance dates for business entities with a close working relationship, where entities share a common business or management accounting system or central administration structure	
Managed fund wanting to adopt the non-standard balance date of the fund manager or trustee and it can be demonstrated a parent– subsidiary-like relationship exists between parties	
Entity deemed to be agent of nonresident insurer filing as-agent returns in terms of s HD 16 of the ITA	
Franchise owner wanting to adopt the balance date used by a master franchisor	

Retrospective elections

Ideally, elections to change a balance date will be made, and the Commissioner's consent received, before the commencement of a new income year, so taxpayers can avoid additional compliance costs should consent be withheld.

The Commissioner's practice is that late applications for a change of balance date will be accepted if made before the earlier of the return filing date under s [37\(1\)](#) of the TAA for the current balance date and that for the proposed balance date. Consent will be provided where taxpayers can show that:

- # it is possible to file returns for all the income years
- # the late election was not made for reasons of tax deferral or tax avoidance, or to take undue advantage of any tax incentive or concession, and
- # any tax deferral as a consequence of the proposed balance date is only insignificant when compared with their total tax liability.

Circumstances in which non-standard balance date approved

The Commissioner normally allows a non-standard balance date, ie other than 31 March, in the following circumstances:

- # The nature of the business makes a 31 March balance date impractical.
- # The business wishes to align with an agreed industry balance date. For example, the following balance dates are commonly recognised:

# apiarists	30 November or 31 December
# education/child care related services	31 December
# farmers: cattle	31 May
— dairy	31 May, or 30 June, or 31 July
— sheep	30 June
# fishing industries	30 September
# horse breeders	31 July
# kiwifruit orchardists	31 January, 28 February, or 31 March
# meat processing and export	31 August, or 30 September
# orchardists, pipfruit	31 March, or 30 June, or 31 December
# seed dressers	30 November
# tobacco growers	31 July

For shareholder-employees, when the date coincides with the balance date of the company in which they are shareholders and from which they derive their primary source of income. If they are shareholders in more than one company, their balance date should be aligned to the balance date of the company that provides their primary source of income.

For subsidiary companies, when the date coincides with the balance date of a parent company, except when the change would result in a significant deferral of income.

For business entities with a close working relationship, aligning balance dates where they share a common business/management accounting system or central administration structure and already have an approved non-standard balance date (including a joint venture that has elected to be treated as a partnership for income tax purposes wanting to adopt a balance date in common with a joint venturer).

For managed funds, allowing them to adopt a balance date in common with a fund manager or trustee when it can be demonstrated that a parent-subsidiary like relationship exists between parties (excludes a multi-rate PIE that does not make payments of tax under s [HM 44](#) of the IT07).

- # For entities deemed to be agents of non-resident insurers, allowing them to file “as agent” returns in terms of s [HD 16](#) (excludes a multi-rate PIE that does not make payments of tax under s [HM 44](#)).
- # For taxpayers that perform business activities in New Zealand that have a centre of management outside New Zealand (does not apply to passive investment income), allowing them to adopt a balance date applicable to a non-resident taxpayer’s tax jurisdiction.
- # For continuing estates, when the date coincides with the date of death of the deceased taxpayer.
- # For a previously tax-exempt entity, allowing it to continue to use a balance date consistent with an existing date for financial reporting purposes. (For example, a charity that had only exempt income so was not previously required to file tax returns and is now required to file returns, may continue to use the non-standard balance date they had used before entering the tax base.)
- # Where a taxpayer can demonstrate that unreasonable or excessive compliance costs will be incurred if income has to be returned to 31 March.
- # Where a franchisee is required as a condition of a franchise agreement to use a non-standard balance date for financial reporting purposes (where the applicable balance date has been recognised via an agreement between the Commissioner and the master franchisor).
- # Where a taxpayer receives passive income as well as business income and wishes to adopt a non-standard balance date for returning their business income. If the business income has a source in a related business entity, a customer may elect to return income to the balance date of that related entity.

When providing consent to a new balance date, the Commissioner will only agree to a balance date that is the last calendar day of a month, eg 30 November rather than 15 November — except for a continuing estate that elects to adopt a balance date that coincides with a deceased taxpayer’s date of death.

The Commissioner will not agree to a change in balance date when:

- # the non-standard balance date is the anniversary date of the commencement of a business, unless it coincides with an agree industry balance date
- # the reasons for the change is tax deferral, tax avoidance or to take advantage of any tax incentive or concession
- # the request has been made to smooth out administrative workloads within the business or to smooth the workflow of a manager, trustee or tax agent
- # the taxpayer has investment income and no direct involvement in a business activity
- # functions have been contracted out to a third party (eg a specialist administration manager) and the taxpayer wishes to adopt the manager’s balance date

The SPS also sets out how to make a request and the information that must accompany a request.

IR requires that salary, wages or schedular payments be returned to 31 March. Changes of balance date only apply to business income.

Example 3:

A taxpayer who derived both business income and salary and wages could not return the income from salary and wages for any particular year other than 31 March (ie the tax year) regardless of what other balance date the taxpayer returned business income. See Case K41 [\(1988\) 10 NZTC 348](#).

Law: IT07 s [YE 1](#); TAA ss [38](#), [39](#), [39B](#)

Last reviewed on 31 December 2025

Change from standard to early balance date [¶2-065]

[¶2-065]

[Click to open document in a browser](#)

A person may change the return date to a date earlier than the original balance date. An early balance date refers to an accounting year with an annual balance date falling between 1 October and the following 31 March. If the new balance date is earlier in the calendar year than the original balance date, the person has a transitional year of the period from the original balance date up to and including the new balance date in the next succeeding calendar year. That is, the period covered in the first change for assessment purposes is always for a period less than 12 months and generally for a period of more than six months.

Example:

A customer changes from a 31 March balance date to a 31 January balance date.

The return for the 2024-25 tax year will cover the period from 1 April 2024 to 31 January 2025 (a 10-month transitional return period). The return for the 2025-26 tax year will be from 1 February 2025 to 31 January 2026.

Example reproduced from [SPS 24/01](#).

Law: IT07 s [YE 1](#); TAA s [39](#)

Last reviewed on 31 December 2025

Change from standard to late balance date [¶2-070]

[¶2-070]

[Click to open document in a browser](#)

A person may change the return date to a date later than the original balance date. A late balance date refers to an accounting year with an annual balance date falling between 1 April and the following 30 September (inclusive of both days). If the new balance date is later in the calendar year than the original balance date the person has a transitional year of the period from the original balance date up to and including the new balance date in the same calendar year. For assessment purposes, this is always for a period greater than 12 months.

Example:

A customer changes from a 31 March balance date to a 30 June balance date.

The return from the 2023–24 tax year will cover the period from 1 April 2023 to 30 June 2024 (a 15-month transitional period). A 15-month transitional return period occurs because 1 April 2023 to 31 March 2024 and 1 April 2024 to 30 June 2024 both correspond to the 2023–24 tax year, so the periods must be combined.

The return for the 2024–25 tax year will be from 1 July 2024 to 30 June 2025.

Example reproduced from [SPS 24/01](#), “Requests to change a balance date”, July 2024.

If the change in balance date results in the person having two periods combining to be the corresponding income year for a tax year, the figures for both periods are added together for assessment purposes; see Example 2 in [¶2-071](#).

Law: IT07 s [YE 1](#); TAA s [39](#)

Last reviewed on 31 December 2025

Returns for less than 6 months or more than 18 months [¶2-071]

[¶2-071]

[Click to open document in a browser](#)

Transitional returns for periods relating to changes from or to the standard balance date are generally for periods of more than 6 months or less than 18 months. However, in some cases, returns are required for periods outside these boundaries. Returns for a period of longer than 18 months occur only when there is a change from an early balance date to a late balance date. By contrast, returns for a period shorter than 6 months occur only when there is a change from a late balance date to an early one. The Commissioner's policy on the filing requirements in these situations is summarised by the following examples:

Example:

In 2023, a customer changes from a balance date of 30 September to 30 November for the 2023–24 tax year. This means:

- # 1 October 2022 to 30 September 2023 corresponds to the 2022–23 tax year
- # 1 October 2023 to 30 November 2023 is a two-month period in the 2023–24 tax year, and
- # 1 December 2023 to 30 November 2024 corresponds to the 2024–25 tax year.

It is not possible to include the income derived during the two-month period in the 2023–24 tax year with other income derived in the same tax year, because no other income is derived during the 2023–24 tax year. The customer must file a 2-month transitional return for the 2023–24 tax year.

Example:

In 2022, a customer changes from a balance date of 30 November to 31 July for the 2023–24 tax year. This means:

- # 1 December 2021 to 30 November 2022 corresponds to the 2022–23 tax year
- # 1 December 2022 to 31 July 2023 is an eight-month period in the 2022–23 tax year, and
- # 1 August 2023 to 31 July 2024 corresponds to the 2023–24 tax year.

The legislation requires the customer to add the income derived during the transitional period to other income derived in the same tax year. Therefore, the customer must add the income derived in the eight-month period from 1 December 2022 to 31 July 2023 to the income derived in the period from 1 December 2021 to 30 November 2022, giving a return for a 20-month period for the 2022–23 tax year.

Examples reproduced from [SPS 24/01](#), "Requests to change a balance date", July 2024.

Last reviewed on 31 December 2025

Adjustments required when balance date changed [¶2-075]

[¶2-075]

[Click to open document in a browser](#)

Average rate of tax

Upon the adoption of a new balance date, a return will be prepared for a period of more or less than 12 months. The taxpayer must calculate an average tax rate, and this is used as the basic tax rate for calculating the person's income tax liability for the transitional year. The calculation of this average tax rate is based on an annualised amount of business taxable income plus other income, such as wages. This annualisation is necessary because a transition year will either be shorter or longer than a 12-month period.

A person must determine:

- # the amount of income from activities (net of allowable deductions, if any) that are unrelated to the changed balance date
- # the annualised amount of income (net of allowable deductions) from those business activities for which the Commissioner has agreed the new balance date, and
- # the average tax rate on the aggregate of those 2 amounts.

Example: Transition year greater than 12 months

Bob, a partner in Bobbin & Co, sought a change in the balance date for the partnership from 31 March to 31 May. Approval for the change was given on 14 Dec 2019 for the 2020 tax year. A return of income is filed for the period 1 April 2019 to 31 May 2020 (427 days, as 2020 is a leap year).

Bob's share of the partnership income for the 14 months to 31 May 2020 (2020 tax year) is \$100,000. Unrelated to the change in balance date, he also derives interest and dividends for the 12 months to 31 March 2020 (2020 tax year) of \$200,000.

Bob must calculate the average tax rate on the following amount:

$$\$200,000 + (\$100,000 \times 366 \div 427) = \$285,714$$

Using the marginal rates of tax from [Sch 1](#) of the IT07 (based on the rates for the 2017–18 tax year and assuming no change in rates), the income tax payable on this annualised amount of taxable income for the 2020 tax year is \$85,205.62.

The basic tax rate is calculated as equal to the average rate of tax on that annualised income, as follows:

$$\$85,205.62 \div \$285,714 = 29.82\%$$

The income tax liability for the 2020 tax year is therefore calculated using this basic tax rate:

$$(\$200,000 + \$100,000) \times 29.82\% = \$89,460$$

In the absence of s 39, the income tax liability on \$300,000 would be \$89,920 (ie overtaxed).

Example adapted from *Tax Information Bulletin* [¶295-106 Vol 29, No 5](#), June 2017 at 157.

Overseas income

New Zealand resident persons may elect to return certain overseas income in the New Zealand tax year in which their balance date in the overseas jurisdiction falls. See [¶26-032](#).

Adjustments where no change of balance date

The provisions of s 39 of the TAA do not apply if there has not been a change of balance date in terms of s 38 of the Act. For example, the first return of income of a person who has not previously been required to file a tax return and carries on business is made from the commencement of that business to the following 31 March or other approved balance date. Although such returns are for a period of less than 12 months, the Commissioner cannot apply the provisions of s 39 to reduce the annual tax rate for income.

Also, if a balance date other than 31 March has been approved for a person who has never been liable to furnish returns, s [39](#) cannot be applied to adjust the tax rate. That section only applies to changes of existing balance dates. A person who has not previously been required to file a tax return does not have an existing balance date to change.

Law: TAA ss [38](#), [39](#)

Last reviewed on 31 December 2025

Return for less than 12 months [¶2-080]

[¶2-080]

[Click to open document in a browser](#)

A return for a period of less than 12 months may be required in the following instances:

- # return of income of newly deceased individual to date of death if the deceased would have been required to file a return had they remained alive ([¶25-650](#))
- # first return of trustee or estate income from inception of trust to following 31 March (sometimes the Commissioner will agree to the trust's or the deceased's special balance date instead)
- # a person who has not previously been required to file a tax return (in particular when a business has just been started) often needs to file a return covering income derived from part way through the year to the following 31 March
- # a liquidated company or a finally distributed trust require a return of income to that date from the preceding 1 April
- # change to an "earlier" balance date ([¶2-065](#) and [¶2-071](#)), or
- # amalgamation of 2 or more companies under the Companies Act 1993 ([¶20-085](#) and s [76\(b\)](#) of the TAA).

Last reviewed on 31 December 2025

Late filing penalties and non-electronic filing penalties [¶2-090]

[¶2-090]

[Click to open document in a browser](#)

Late filing penalties are imposed on a person who:

- # fails to provide certain returns (see below), reconciliation statements (where relevant) or employment income information on time, and
- # is notified by the Commissioner that the penalty is payable.

Late filing penalties are chargeable on the following returns:

- # annual tax returns (which includes returns by persons who receive family assistance, who have tax credits for charitable gifts, partnership returns, returns by owners of interests in look-through companies, returns by an undischarged bankrupt, and returns by executors or administrators)
- # a multinational top-up tax return (from 1 January 2025)
- # annual ICA returns
- # returns required by multi-rate PIEs or proxies for investors in the PIEs
- # statements for payment of residential land withholding tax (RLWT), and
- # employment income information.

See further at [¶14-040](#).

A late filing penalty may also be imposed on GST returns filed after their due dates ([¶32-223](#)).

Non-electronic filing penalty

There is also a penalty, known as a non-electronic filing penalty, for those employers, PAYE intermediaries, portfolio investment entities and investment income payers that are required to file returns electronically but fail to do so ([¶14-045](#)).

Both these penalties will themselves be subject to the late payment penalty and interest if they are not paid by the due date.

Law: TAA ss [139A](#), [139AAA](#), [139AA](#)

Last reviewed on 31 December 2025

Addresses to send tax returns, payments and correspondence [¶2-095]

[¶2-095]

[Click to open document in a browser](#)

IR has processing centres to which tax payments, tax returns and correspondence can be mailed. See ird.govt.nz for the relevant addresses.

For tax payments, see [¶2-115](#).

Last reviewed on 31 December 2025

Calculation and satisfaction of tax liability [¶2-105]

[¶2-105]

[Click to open document in a browser](#)

New Zealand income tax is imposed on the worldwide income (subject to some exceptions) of all New Zealand residents whether they are companies or individuals. Income tax is also imposed on New Zealand-sourced income of non-residents, although the liability may be reduced by the provision of a double tax agreement.

The method for determining a person's income tax liability is dealt with by s [BC 1](#). This section makes a distinction between:

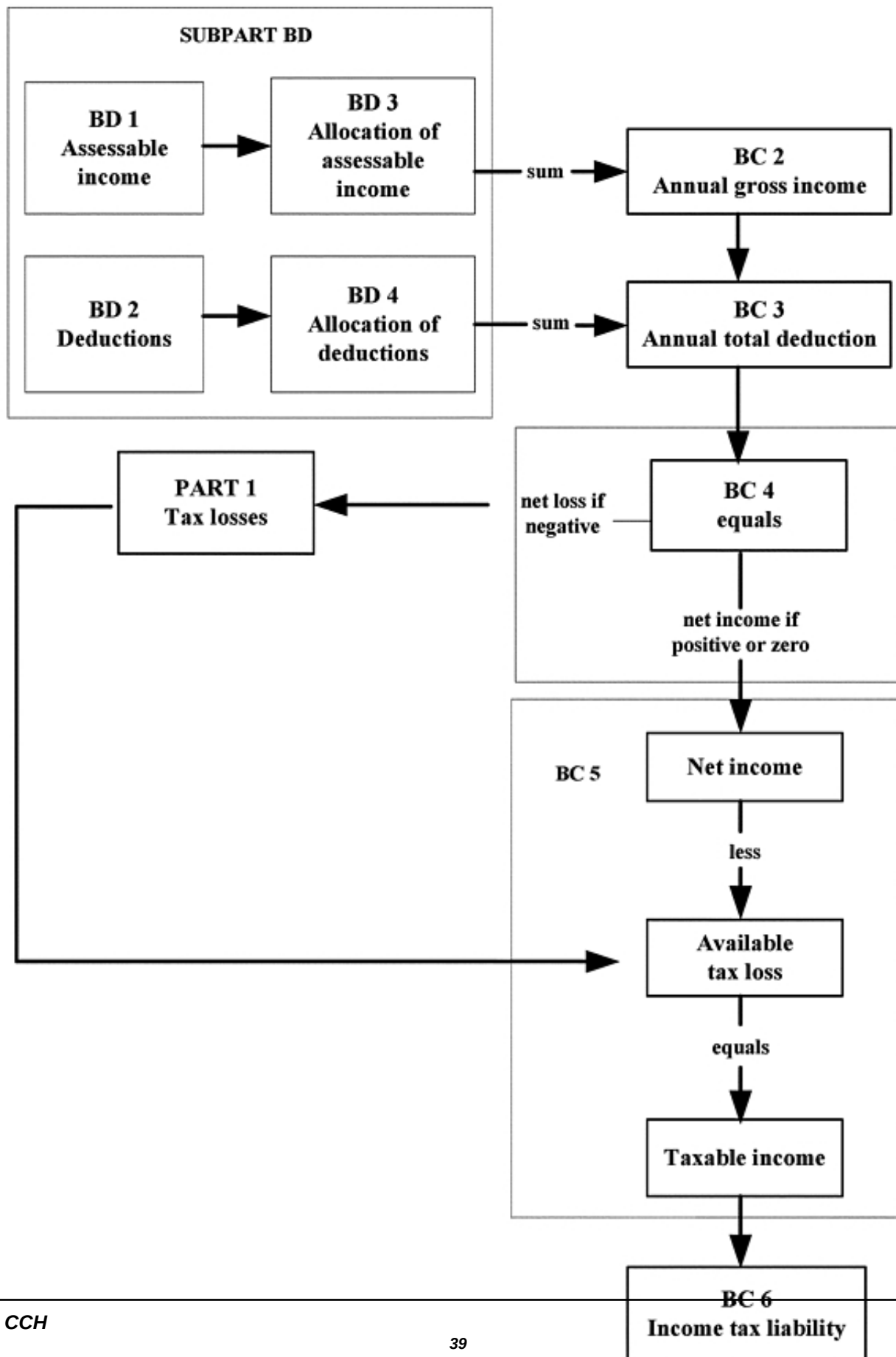
- # a non-filing taxpayer (income tax liability is the total tax withheld from annual gross income)
- # a filing taxpayer (income tax liability calculated under ss [BC 2–BC 6](#)), and
- # a filing taxpayer with schedular income (income tax liability calculation is modified by s [BC 7](#)).

The tax liability for each class of person is appropriately defined. The person's income tax liability will be satisfied by crediting any tax paid or withheld, or by the payment of terminal tax.

Satisfaction of the income tax liability of the person for the income year is addressed by s [BC 8](#). That provision states that the liability may be satisfied by crediting any tax paid or withheld for a tax year. If the credits are insufficient to satisfy the total amount of the income tax liability, the person must pay terminal tax.

Filing taxpayers

The following diagram in subpart [BC](#) illustrates the process used by filing taxpayers to calculate taxable income under ss [BC 2–BC 6](#).



Annual gross income

The annual gross income of a person for a tax year is the total of the amounts of assessable income under s [BD 1](#) that are allocated to the corresponding income year. This proposition is stated by s [BC 2](#).

Determination of annual gross income is a step in ascertaining the person's income tax liability for the income year.

Assessable income

Assessable income is income that is not exempt income, excluded income or non-residents' foreign-sourced income; see further at [¶11-055](#). Assessable income is described in s [BD 1](#), and allocation to income years is dealt with by s [BD 3](#).

Annual total deduction

Section [BC 3](#) provides that a person's annual total deduction for a tax year is the total of the deductions that are allocated to the corresponding income year.

Deductions are described in s [BD 2](#) and allocation to income years is dealt with by s [BD 4](#).

Net income and tax loss

A person's net income or tax loss for a tax year is defined by s [BC 4](#).

Where a person's annual gross income is more than their annual total deduction, the difference is the person's net income. It is also recognised that net income for the income year can be zero. This is where the person's annual gross income equals annual total deduction. An example of where this can occur is where profits and losses are offset within a group of companies.

A person's tax loss for the income year arises when their annual total deduction is more than their annual gross income. The difference is the person's tax loss for the tax year with the person having a net income of zero. The treatment of a tax loss is that the person includes it under Pt [I](#) in their tax loss for the tax year that may be:

- # subtracted from net income in a future tax year
- # made available to another person to subtract from that person's present or future net income, or
- # used in other ways.

Taxable income

The taxable income of a person for a tax year is determined by subtracting any available tax losses of the person in accordance with Pt [I](#) from the person's net income. See s [BC 5](#).

An available tax loss will be a loss balance carried forward from an earlier tax year or the tax loss of another company allowed to be subtracted from net income. Deduction of the loss is the final step in determining taxable income.

Non-filing taxpayer

The definition of the income tax liability for a tax year of a "non-filing taxpayer" is contained within s [BC 1\(1\)](#). The liability is the total of the tax withheld from income included in the taxpayer's annual gross income for the year. In other words, tax deducted at source becomes the year's tax liability.

The concept of a "non-filing taxpayer" is defined in s [YA 1](#). It refers to:

- # a non-resident entertainer whose only New Zealand-sourced income is from schedular payments and who chooses not to file a return
- # a non-resident who pays non-resident withholding tax (NRWT) as a final tax, or
- # a person whose only New Zealand-sourced income is derived as a non-resident seasonal worker.

Filing taxpayer with schedular income

The income tax liability for an income year of a filing taxpayer with schedular income is determined in accordance with ss [BC 1\(3\)](#) and [BC 7](#). A distinction is drawn between a person with one type of schedular income and multiple types of schedular income. The person must calculate an income tax liability for each class of schedular income as if each category was the person's only income. The income tax so calculated is added to the tax on income that is not schedular income (as discussed above) to give the income tax liability for the tax year.

The concept of schedular income is defined (in s [YA 1](#)) to mean income of the following types:

- # schedular policyholder base income of a life insurer
- # category A income of a group investment fund
- # income of a multi-rate PIE or a portfolio tax rate entity
- # attributed PIE income derived by a natural person investor in a multi-rate PIE
- # non-resident passive income for which NRWT is a final tax
- # income of a non-resident general insurer that is not a company
- # income of a non-resident shipper
- # income of Lloyd's of London from life insurance premiums
- # income to which s [GB 3BAB](#) (Arrangements to inject income into companies carrying forward loss balances) applies
- # lump sum accident compensation earnings-related payments and personal services rehabilitation payments
- # lump sum payments from the Ministry of Social Development
- # income subject to the minor beneficiary rule in s [HC 35](#)
- # income subject to the corporate beneficiary rule in s [HC 38](#), and
- # an assessable withdrawal amount subject to transfer scheme withholding tax (from 1 April 2026).

The feature common to these classes of income is that they are dealt with in a specific manner such as being subject to separate return requirements or to different tax rates. This makes it necessary to preserve the separate identity of these classes of income. The income tax liability for a tax year of a person who has any schedular income is stated by s [BC 7](#) to be the total of:

- # the person's schedular income tax liability for the year, and
- # the amount that would be their income tax liability for the year if the person had no schedular income.

If the person has one type of schedular income, the person's schedular income tax liability is the tax liability on that schedular income. If the person has multiple types of schedular income, the schedular income tax liability is the total income tax liabilities calculated on each class of schedular income. For example, s [RB 3](#) states that tax for each class of non-resident passive income that is schedular income, the schedular income tax liability must be calculated in accordance with the formula set out in that section.

Law: IT07 subpart [BC](#), ss [RB 3](#), [YA 1](#) ("filing taxpayer", "non-filing taxpayer", "schedular income")

Last reviewed on 31 December 2025

Determination of income tax liability [¶2-110]

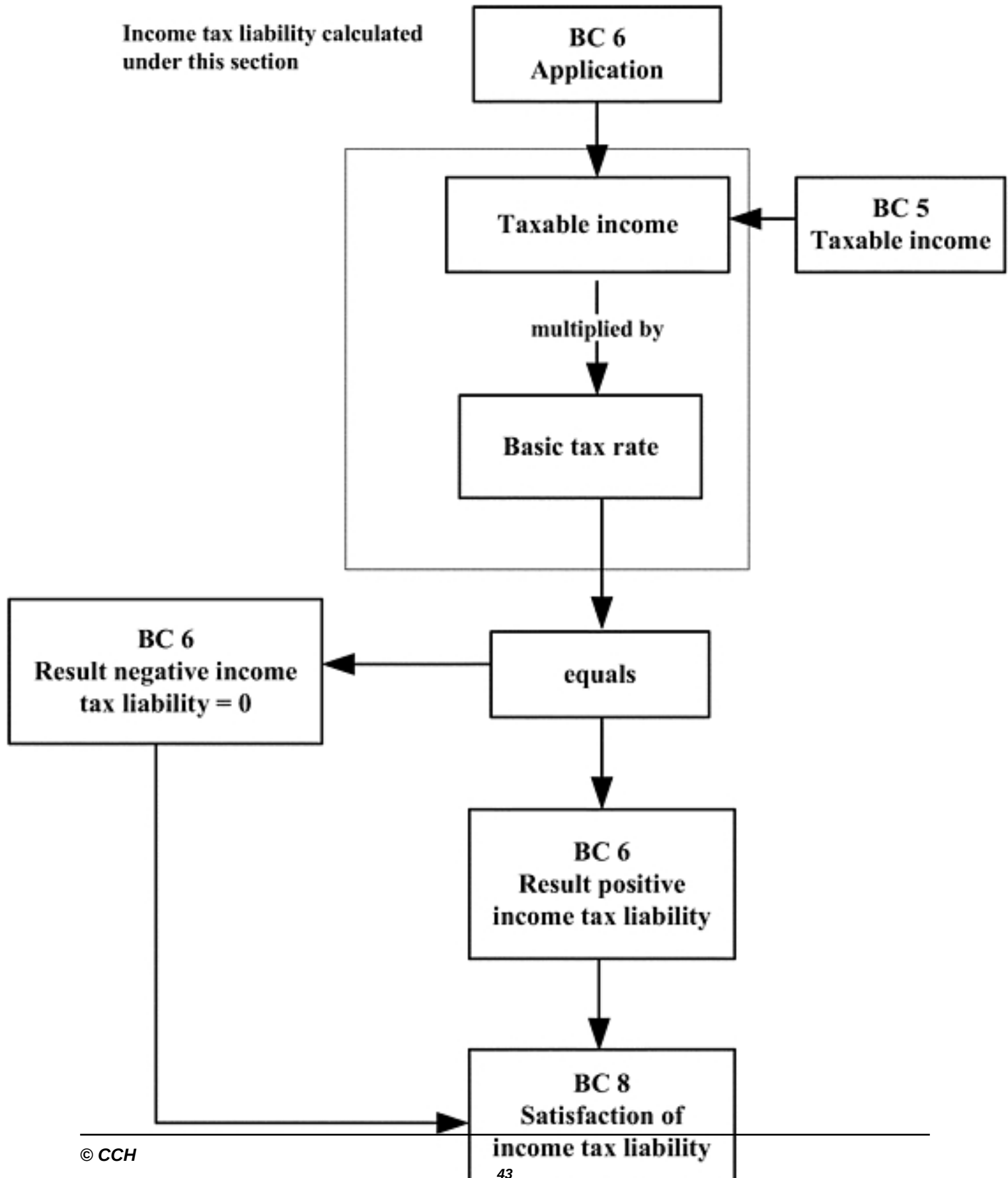
[¶2-110]

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The determination of a person's income tax liability follows the steps set out in s [BC 6](#). The following diagram illustrates the process used by persons (except non-filing taxpayers) to calculate income tax liability.

Section BC 6: income tax liability of filing taxpayer

**Income tax liability calculated
under this section**



Section [BC 6\(1\)](#) states that the income tax liability for a tax year of a filing taxpayer is the amount calculated by multiplying taxable income for the tax year by the basic tax rate.

The “basic tax rate” is defined in s [YA 1](#) to mean:

- # the basic rate of income tax for the person under Sch [1](#) (basic tax rates: income tax, employer’s superannuation contribution tax (ESCT), retirement scheme contribution tax (RSCT), resident withholding tax (RWT) and attributed fringe benefits) and Sch [2](#) (basic tax rates for pay as you earn (PAYE) income payments), and
- # the basic rate of income tax under Sch [1](#) apportioned on a time basis in the case of a person filing a return in accordance with s [39](#) of the TAA ie in a transitional year on a change of balance date (see example in [12-075](#)).

Satisfaction of income tax liability

Once a person has determined their tax liability in accordance with s [BC 6](#), the liability is first satisfied by total tax credits available and then through the payment of terminal tax.

Generally, tax credits are an allowance for tax paid or withheld at some other time during the relevant tax year.

A person has terminal tax for a tax year in which their tax liability exceeds their total tax credits as determined in accordance with Pt [L](#) (credits). The amount of the terminal tax is the difference between the two. To satisfy the person’s income tax liability, the terminal tax must be paid.

The following example illustrates the situation where a person’s income tax liability exceeds total tax credits.

Example:

In the 2025–26 income year, Mrs Green derives income of \$29,500 of which \$28,750 is salary income and \$750 is interest from bank deposits. Mrs Green’s tax is:

	\$	\$
Annual gross income		
Salary		28,750.00
Gross interest received		<u>750.00</u>
Equals net and taxable income		29,500.00
Multiplied by basic tax rate		
Equals income tax liability		4,070.50
Less refundable credits:		
PAYE deductions (excluding ACC earner levy)	3,950	
RWT withheld by bank (\$750 @ 17.5%)	<u>131.25</u>	
		<u>4,081.25</u>
Equals terminal tax		<u>10.75</u>

This example adapted from an example prepared by Clinton R Alley, Senior Lecturer, Department of Accounting and Finance, University of Waikato.

Treatment of excess credits

In some instances, credits may exceed the income tax liability for the tax year. In that event, specific rules apply to determine how the credits are utilised:

- # the excess credits are first set off in accordance with s [LA 4](#), and
- # any remaining tax credit is dealt with in accordance with s [LA 5](#).

Section [LA 4](#) provides that the person's credits are to be treated as if they were set off against the person's income tax liability in the following order:

- # non-refundable tax credits
- # tax credits for supplementary dividends
- # tax credits for imputation credits
- # carried forward R&D tax credits
- # R&D tax credits, and
- # refundable credits.

Non-refundable tax credits include credits such as the independent earner tax credit, tax credits for payroll donations, and tax credits for foreign income tax paid.

The policy behind the ordering rules above is to allow maximum credit for foreign taxes and other amounts that are capped at the level of domestic income tax liability.

Any remaining tax credits after applying the above ordering rules (other than refundable tax credits) are dealt with as follows:

- # non-refundable tax credits are extinguished (with a few exceptions)
- # tax credits for supplementary dividends may be made available to another company in the same wholly-owned group
- # imputation credits are either carried forward or converted to losses
- # R&D tax credits are refunded to a specified maximum or carried forward.

Excess imputation credits received

Excess imputation credits received by the following taxpayers are converted to a loss and carried forward:

- # a company (that is not a life insurer)
- # a trustee (other than a Maori trustee)
- # a Maori authority
- # a life insurer (but only for imputation credits to the extent to which the amount is for their shareholder base).

The conversion rates are set out below (s [LE 2\(3\)](#) and Sch [1](#), pt [A](#)):

Taxpayer	Conversion rate
Company	28
Trustee of a disabled beneficiary trust, an estate referred to in s HC 8B , a lines trust or a de minimis trust (from 1 April 2024)	33
Trustee other than a trustee referred to above or a Maori trustee (from 1 April 2024)	39
Trustee other than a Maori trustee (prior to 1 April 2024)	33
Maori authority	17.5
Life insurer (for shareholder base)	28

For taxpayers who do not fall under any of these groups (eg individuals), the excess imputation credits received for an income year are carried forward as a credit of tax to the next income year and so on, until it is

extinguished by the Commissioner when outstanding tax is written off ([¶12-119](#)) or it is used up. See [¶17-010](#) for a worked example.

A group company with excess imputation credits may offset the loss arising on conversion wholly or partly against the net income of another group company in the income year that the excess imputation credits arise.

To claim a credit, the person is required to furnish the shareholder dividend statement (or other sufficient evidence in writing) indicating the imputation credits claimed.

The Commissioner has the power to disallow a credit of tax (in whole or in part) for imputation credits received if:

- # the Commissioner is satisfied that the imputation credit claimed is in respect of insufficient income tax or further income tax having been paid by the company that issued the credit, and
- # it would be inappropriate for the person to be allowed the credit.

The disallowance is made in a manner that the Commissioner considers fair and equitable. However, if sufficient income tax or further income tax is subsequently paid by or on behalf of the company, the credit will be allowed to the extent of that payment.

Claims for credits of tax for imputation credits received that are in excess of the proper amount are not allowed to the extent of the excess.

Refundable tax credits

Refundable tax credits include credits for PAYE, provisional tax paid, RWT, Working for Families tax credits, non-resident withholding tax (NRWT), RSCT, RLWT, Maori Authority tax credits, and certain tax credits in relation to multi-rate PIEs.

The Commissioner is required to apply the amount of any remaining refundable tax credits in accordance with specific ordering rules outlined in s [LA 6\(2\)](#).

Ordering rules

With the exception of NRWT credits, tax credits under the Working for Families scheme, R&D loss tax credits under subpart MX, FamilyBoost tax credits, and tax credits for charitable donations, refundable tax credits must be applied in the following order:

- # towards previous tax years' unpaid tax liability (if any) and, if this amount exceeds the tax credit available, to the extent of the available credit
- # towards unpaid tax liability for the following tax year or years (if any)
- # towards unpaid provisional tax for the following tax year or years (if any)
- # as tax paid in excess that can be transferred to other tax types of other taxpayers
- # for a company using the accounting income method (AIM) of paying provisional tax, towards the provisional tax liabilities of the AIM company's shareholders, and
- # as a refund of tax, subject to ss [RB 4](#), [RM 2–RM 8](#), and [RM 10](#).

Tax credits under the Working for Families scheme, R&D loss tax credits under subpart MX, FamilyBoost tax credits, and tax credits for charitable donations are either treated as refundable or as tax paid in excess which can be transferred.

NRWT credits must be treated, firstly, as tax paid in excess that can be transferred, and secondly, as refundable to the taxpayer.

Example:

Calculation and satisfaction of income tax liability

Q Ltd is a small New Zealand company that specialises in technology development and also holds a number of investments. The company's results for the 2025–26 tax year are as follows:

	\$000s	
Income from technology projects	4,000	
Income from Government stock investments (no RWT: exemption certificate held)	100	
Dividends received (including imputation credits of \$28,000)	100	
Expenditure related to technology projects	(3,000)	
General expenses	(50)	
Notes:		
# Q Ltd has \$150,000 of losses carried forward from a prior year that are able to be utilised in the 2025–26 tax year, and		
# Q Ltd paid provisional tax of \$250,000 for the 2025–26 tax year.		
Using the steps set out in the core provisions, the calculation and satisfaction of Q Ltd's income tax liability for the 2025–26 tax year can be demonstrated as follows:		
	\$000s	\$000s
Assessable income:		
income from technology projects	4,000	
government stock investment income (calculated under the financial arrangements rules and allocated to the 2025–26 tax year)	100	
dividends received (including imputation credits)	<u>100</u>	
Annual gross income		4,200
Deductions:		
technology expenditure	3,000	
general expenses	<u>50</u>	
Annual total deduction		<u>3,050</u>
Net income		1,150
less:		
available tax losses		<u>(150)</u>
	Taxable income	<u>1,000</u>
	Income tax liability	280
less:		
non-refundable credits		<u>nil</u>
credits in respect of supplementary dividends		nil
imputation credits of \$28,000		(28)
refundable credits:		
RWT (no RWT: exemption certificate held)		nil
provisional tax paid		<u>(250)</u>
	Terminal tax liability	<u>2</u>

Example adapted and reproduced from *Tax Education Office Newsletter* No 124, November 1996 at 9, with permission from the TEO.

Law: IT07 subparts [LA](#), [LE](#), ss [BC 6](#), [BC 8](#), [IA 2\(4\)\(b\)](#), [RA 3](#), [YA 1](#) (“[basic tax rate](#)”, “[filing taxpayer](#)”, “[non-refundable tax credit](#)”, “[refundable tax credit](#)”), Sch [1](#) pt [A](#)

Last reviewed on 31 December 2025

Correcting a tax return [¶2-112]

[¶2-112]

[Click to open document in a browser](#)

Generally, once it is filed, a tax return cannot be amended or corrected by filing an amended return. However, under s [113](#) of the TAA the Commissioner is granted a broad discretion to amend assessments to ensure their correctness, or following the application of the dispute resolution process.

In *Westpac Securities NZ Ltd v C of IR* ([2014](#)) [26 NZTC ¶21-118](#), the High Court held that where a taxpayer in error adopts a correct but disadvantageous tax position, the Commissioner has the power under s [113](#) to correct the taxpayer's assessment so as to negate that disadvantage by adopting another correct tax position. However, the Court said that whether the Commissioner considers her discretionary power should be exercised in that way was a matter outside the scope of the judgment and was therefore a matter for the Commissioner.

Standard practice statement on amending assessments

Standard practice statement [SPS 20/03](#), "Requests to amend assessments" sets out how the Commissioner will exercise the Commissioner's discretion to amend an assessment of income tax or goods and services tax (GST), without having to go through the disputes resolution process ([¶4-130–¶4-232](#)). The statement provides both direction to those IR staff delegated to use the discretion in s [113](#), and guidance to taxpayers and their advisors in formulating requests for amendments.

In considering s [113](#) requests, the Commissioner must be assured that the amendment the taxpayer seeks will ensure the assessment is correct when amended, even if it was also correct beforehand. If a request is made to correct an arithmetic, transposition or keying error made by either the taxpayer or Commissioner, the correction will be made without further consideration.

Where the Commissioner is not initially convinced that the amendment requested will result in a correct assessment, a decision must be made to commit IR's limited resources to considering the request further. In that case, the Commissioner will consider factors such as:

- # whether the taxpayer is attempting to circumvent the statutory disputes procedure
- # whether the subject-matter of the request could apply to other taxpayers
- # how similar requests have been treated
- # whether the request is a voluntary disclosure
- # whether the taxpayer took their original position relying on advice from the Commissioner
- # whether there has been a delay in making the request
- # the size of the proposed amendment
- # the taxpayer's compliance history, and
- # any other considerations relevant to a particular case.

Where it is decided to apply additional resources (which the statement states will most often be the case), the merits of the request are then considered.

When the Commissioner is satisfied, the amendment requested will lead to the making of a correct assessment, that assessment will be made unless a relatively rare circumstance exists that suggests that, on balance, the integrity of the tax system will be undermined. These circumstances can include, for example:

- # where the request is, or is part of, a tax avoidance arrangement
- # where a taxpayer requests the Commissioner to amend an assessment from one correct tax position to another position that is also correct.

Requests to correct obvious errors, such as arithmetic, transposition and keying errors, may be made to IR by telephone or in writing.

Requests to amend returns where the tax effect of the amendment requested is \$10,000 or less may generally be made by telephone or in writing. Where the tax effect is greater than \$10,000, the request must be made in writing.

Where a taxpayer makes an amendment request, all relevant information to support the request must be provided, including:

- # the tax types and periods containing the tax position the taxpayer wishes to amend
- # the decrease in tax liability that will result from any amendment (a request that results in an increase in tax liability is a voluntary disclosure and is dealt with under [SPS 19/02](#), see [¶14-130](#))
- # a description of the original tax position, including the background circumstances and reasons the original tax position was taken
- # the nature of the amendment, including any relevant tax laws
- # how and why the need for the amendment was identified
- # where relevant, details of any incorrect advice given directly to the taxpayer by IR and how the taxpayers relied on that advice
- # the action required to ensure correctness
- # all other relevant documents and records or other information supporting the amendment request, and
- # whether the taxpayer is aware of any relevant view published by the Commissioner and the extent to which the taxpayer's amended tax position is consistent with that published view.

Interest and penalties

Notice is provided to the taxpayer where a request for amendment leads to a fresh tax liability or increases an existing tax liability. Interest applies to any tax that has been underpaid or overpaid as a result of a genuine error. A shortfall penalty may be applied if the taxpayer has not met the requisite standards of care ([¶14-100](#)).

Correcting minor errors in later returns

If a person's income tax, fringe benefit tax or GST assessment or return contains one or more errors and the total tax discrepancy caused by the error or errors is \$1,000 or less, then the person is allowed to rectify the error or errors in the next return due after discovering them under s [113A](#).

In addition, a person may also rectify an error or errors in a subsequent return if, for that person, the error or errors are not material errors. For these purposes, the error or errors are not material if the total tax discrepancy caused by the error or errors in the return is equal to or less than the lower of \$10,000 and 2% of the person's annual gross income or GST output tax, as applicable. However, note that a person will not be able to correct an error if they have applied the materiality threshold for the main purpose of delaying the payment of tax.

[SPS 20/03](#) discusses the relationship between ss [113](#) and [113A](#), and states that while the Commissioner is not prevented from exercising the discretion under s [113](#) where the taxpayer is able to make the required correction themselves in a later period, the Commissioner's practice is generally not to expend resources in these circumstances. The taxpayer does not need to request that the Commissioner amend an assessment under s [113](#) to make the correction. However, in certain circumstances, the Commissioner will exercise the discretion under s [113](#), notwithstanding that the taxpayer is able to make the required correction using s [113A](#). For example, this may occur where a taxpayer has made a final return and there is no future return in which to make an adjustment, or where not correcting the error in the earlier period using s [113](#) will negatively impact an entitlement of the taxpayer, such as a Working for Families tax credit entitlement.

Law: TAA ss [113](#), [113A](#)

Last reviewed on 31 December 2025

Method of payment of tax [¶2-115]

[¶2-115]

[Click to open document in a browser](#)

Payment of tax may be made in a number of ways. This includes making payments electronically through Internet banking, direct debit or by using a credit or debit card (Visa or Mastercard). Alternatively, payments can be made by cash or EFTPOS at any branch of Westpac.

Sufficient details must be included to enable the payment to be credited to the correct income year and tax type.

When payment received in time

Standard practice statement [SPS 21/03](#), “Tax payments — when received in time”, October 2021 sets out when the Commissioner considers a tax payment to be received in time.

The Statement applies to all tax types, as well as student loan repayments, small business Cash Loan payments and child support payments. Standard practice statement [SPS 21/03](#) is summarised below.

Electronic payments

Customers are encouraged to make payments electronically, including by internet banking. Payments by this method minimises delays and includes formal notification of the date and time the payment was made to IR. A payment will be received in time if it has been electronically paid or direct credited into an IR account either on or before the due date.

If a customer wishes to future-date an electronic payment, the “my tax payment” option is available on all major New Zealand banks’ internet banking services.

Customers who are registered for myIR can set up direct debits (except for child support, KiwiSaver member and tax pooling payments). A direct debit payment will be received in time when the direct debit transaction is made on or before the New Zealand due date.

Tax agents who are registered for myIR can set up instalment arrangements and one-off payments on behalf of their clients (who are registered for myIR) by direct debit on a condition that the client has authorised this action.

Overseas payments

A payment will be received in time when it has been electronically paid or direct credited into an IR account either on or before the New Zealand due date.

Debit/credit cards

Customers can make payment by using a Visa or Mastercard debit/credit card over the phone, through the payment page on IR’s website for all revenues, and through myIR, their secure online service. A convenience fee of 1.42% is payable (charged by the banks) on all debit/credit card tax payments made within New Zealand. This fee also applies to debit/credit card tax payments from overseas, except for child support debt and student loan repayments where IR pays the convenience fee. A debit/credit card payment will be received in time when it has been paid or direct credited into an IR account on or before the New Zealand due date.

Westpac over-the-counter payments

Payments cannot be accepted at an IR office. Customers may make over-the-counter payments at branches of Westpac. (Note that while payment may be made at Westpac branches, Westpac is not authorised to accept returns. Returns may be filed electronically, posted to IR or delivered to an IR office.)

From 1 July 2020, customers making over-the-counter payments at a Westpac branch must either include a barcode obtained from letters, returns and statements issued by IR, or create a barcode through IR's website payment page to provide clear payment instructions. A separate barcode is required for each individual tax type payable and tax period.

Customers with a Westpac bank account may also pay (cash or EFTPOS) via Westpac Smart ATMs, provided they also use a barcode issued by IR or generated online.

Payments made at Westpac are received in time if they are made on or before the due date. The cut off time for a payment made at an ATM is 9PM. Any payment made after this will go in the banking file on the next business day.

Weekends and public holidays

If a due date falls on a weekend or a public holiday (including a provincial anniversary day), a payment will be in time if it is received at a Westpac branch or an IR bank account on or before the next working day. The treatment for a provincial anniversary day only applies to those customers located in the relevant province who usually make tax payments in person over the counter at Westpac and so are unable to make payment on that day.

Tax pooling

In cases of tax pooling, the date of payment to IR is triggered when the tax pooling deposit is transferred into the taxpayer's account. The effective date of the transfer can be no earlier than the date the deposit was received by IR.

Income Equalisation Scheme (IES) deposits and primary sector business customers

Customers may make IES deposits via their online banking Pay Tax facility, by credit card and direct debit.

Last reviewed on 31 December 2025

Financial relief for the payment of outstanding tax [¶2-119]

[¶2-119]

[Click to open document in a browser](#)

Detailed rules on the Commissioner's powers to collect outstanding tax and to write off tax debt, and on the circumstances in which a person may seek financial relief for the payment of outstanding tax are contained in ss [176–177CA](#) of the TAA. The underlying policy to these rules is to avoid a person being placed in “serious hardship” as a result of having outstanding tax debt. “Outstanding tax” means tax that is payable before or after a due date.

General duty

The Commissioner has a duty to maximise the recovery of outstanding tax from a taxpayer. However, action for recovery must not be taken if it is an inefficient use of the Commissioner's resources or if it would place a natural person taxpayer in serious hardship (s [176](#) of the TAA).

Note, however, that the Commissioner can still take steps to bankrupt taxpayers who are facing serious hardship. IR considers that bankrupting a taxpayer does not place the taxpayer in serious hardship as the taxpayer's affairs are taken over by the Official Assignee who ensures they do not suffer serious hardship.

In *Raynel v C of IR* ([2004](#)) [21 NZTC 18,583](#), the High Court ruled that the general duty in s [176](#) of the TAA does not override the Commissioner's duty to collect the highest net revenue over time ([¶1-512](#) and [¶1-520](#)). The case is discussed in CCH, *New Zealand Tax Updater*, No 6, July 2004. See also *Clarke v C of IR*; *Money v C of IR* ([2005](#)) [22 NZTC 19,165](#) and *McLean v C of IR* ([2005](#)) [22 NZTC 19,231](#). A discussion of these cases is included in CCH, *New Zealand Tax Planning Report*, No 2, June 2005 at 14.

Financial relief

A taxpayer, or a person on a taxpayer's behalf, may request financial relief by either:

- # making a claim of serious hardship (the Commissioner may request this application to be made in writing), or
- # requesting an instalment arrangement.

Upon receiving the request, the Commissioner may:

- # accept the taxpayer's request
- # seek further information from the taxpayer
- # make a counteroffer, or
- # decline the taxpayer's request.

If further information is sought from the taxpayer or a counteroffer is made, the taxpayer has 20 working days to respond. Information provided or a response made outside this period is treated as a new request for financial relief. The 20-working-day period may be extended at the Commissioner's discretion (s [177](#) of the TAA).

The Commissioner's decision under s [177](#) cannot be challenged; see *Gilchrist v C of IR* ([2005](#)) [22 NZTC 19,094](#).

In *W v C of IR* ([2005](#)) [22 NZTC 19,602](#), the High Court ordered the Commissioner to reconsider and determine a taxpayer's application for financial relief. In this case, the taxpayer fell behind in his tax affairs after he suffered a severe psychotic episode. The taxpayer applied for financial relief under s [177](#). The Commissioner declined the relief requested. The taxpayer applied for judicial review of the Commissioner's decision. The High Court held that the question of whether serious hardship is established involves the application of the statutory test in s [177](#) to the individual case of a particular taxpayer. If serious hardship is made out, there is a statutory prohibition on the recovery of outstanding tax to the extent that that recovery would place the taxpayer in serious hardship. It was further held that the Commissioner failed to adequately

address the essential questions that the taxpayer's application for financial relief involved, ie whether serious hardship, as defined in s [177A](#), had been established and whether recovery of outstanding tax beyond the extent offered in the proposal would place the taxpayer in serious hardship.

Serious hardship

Section [177A](#) of the TAA provides the rules for determining whether recovery of outstanding tax would place a taxpayer in serious hardship. The Commissioner must determine whether the financial information shows the taxpayer would likely have significant financial difficulties because, after the request:

- # the taxpayer would likely be unable to meet —
- # minimum living expenses estimated according to normal community standards
- # the cost of medical treatment for an illness or injury of the taxpayer or their dependant
- # the cost of education for their dependant
- # the taxpayer or their dependant has a serious illness
- # other factors the Commissioner thinks relevant would likely arise.

Factors that gave rise to the outstanding tax debt will not be considered by IR when determining whether payment of the debt will place a taxpayer in serious hardship (although such factors may be relevant at the next step of determining what action to take).

Serious hardship should be assessed at the time the application for financial relief is made. This overturns an earlier Court of Appeal decision, in *Larmer v C of IR* ([\(2011\) 25 NZTC ¶20-043 \(CA\)](#)), in which it had been held that serious hardship could be assessed at the time the relevant tax became payable.

Instalment arrangements

The Commissioner must not enter into an instalment arrangement with a taxpayer or a relief company if that arrangement would place the taxpayer in serious hardship.

A relief company is one in which the taxpayer owns, or the taxpayer and one other person jointly own, 50% or more of the shares, or a close company in which the taxpayer is a shareholder–employee.

Approval

A request to enter into an instalment arrangement may be declined if:

- # to do so would not maximise the recovery of outstanding tax from the taxpayer
- # the Commissioner considers that the taxpayer is in a position to pay all of the outstanding tax immediately
- # the taxpayer is being frivolous or vexatious, or
- # the taxpayer has not met all obligations under a previous instalment arrangement.

Renegotiation

A taxpayer may renegotiate an instalment arrangement at any time. The Commissioner may renegotiate an instalment arrangement at any time after the end of 2 years from the date on which the instalment arrangement was entered into. Renegotiation of an instalment arrangement is treated as if it were a new request for financial relief.

Cancellation

The Commissioner may cancel an instalment arrangement if:

- # it was entered into on the basis of false or misleading information provided by the taxpayer, or
- # the taxpayer is not meeting their obligations under the arrangement.

See s [177B](#) of the TAA.

If an instalment arrangement is entered into and the taxpayer is bankrupt or is a company that is in the course of being liquidated, the amount outstanding under the instalment arrangement must be included in IR's proof of debt. See s [177CA](#) of the TAA.

Writing off tax debt

The Commissioner may write off outstanding tax that cannot be recovered. However, underpaid income tax arising from an abusive tax position or evasion or similar act plus any shortfall penalty imposed in relation to that tax cannot be written off. See *Rogerson v C of IR* ([\(2005\) 22 NZTC 19,260](#)).

Outstanding tax that cannot be recovered must be written off in cases of bankruptcy or liquidation, or if a taxpayer's estate has been distributed.

The Commissioner may use the fact that the recovery of outstanding tax of a taxpayer or a relief company would place the taxpayer, being a natural person, in serious hardship as a ground for deciding whether to write off the outstanding tax. However, the Commissioner is not required to write off the outstanding tax simply because that ground exists.

Outstanding tax written off in the above circumstances may be reinstated in whole or in part if the Commissioner receives, by operation of law, additional funds in respect of a taxpayer after the taxpayer becomes bankrupt or is liquidated, or if additional funds due to the taxpayer's estate are discovered after the taxpayer's estate has been distributed.

Reversal

The Commissioner may reverse a write-off if:

- # outstanding tax is written off on the grounds of serious hardship and the natural person taxpayer whose debt has been written off declares bankruptcy or is subject to bankruptcy proceedings brought by a creditor within a year of the write-off
- # outstanding tax is written off on the grounds of serious hardship and the taxpayer that has had its debt written off is a relief company that is, or is in the course of, being liquidated within a year of the write-off, or
- # the outstanding tax was written off due to false or misleading information provided by the taxpayer.

Outstanding tax written off under an instalment arrangement may not be reversed even if, during the term of the arrangement, the taxpayer does not meet all of its terms.

Losses and tax credits

A taxpayer with a tax loss who has outstanding tax written off will forfeit part of that loss. The amount of loss forfeited is calculated by dividing the amount of tax written off by 33% or 28% if the taxpayer is a company. For the purposes of this calculation, a taxpayer's tax loss is the loss recorded in the most recent return of income filed by the taxpayer.

The reduction in tax losses does not apply where small balances are written off by the Commissioner under s [174AA](#) ([¶12-155](#)) or where tax is written off as part of the year-end auto-calculation process for an individual ([¶12-016](#)).

Example:

Syd returns a tax loss of \$9,000 in his 2023–24 tax return. Syd has outstanding tax for the 2022–23 tax year of \$5,000. The Commissioner agrees to write off \$1,000 of Syd's outstanding tax in the 2024–25 tax year. Syd's tax loss carried forward to the 2024–25 tax year is therefore reduced by \$3,030.30 ($\$1,000 \div 33\%$) to \$5,969.70 ($\$9,000 - \$3,030.30$).

Example:

The facts are as above, except in this case the Commissioner agrees to write off \$3,500 of Syd's outstanding tax. Syd's tax loss carried forward to the 2024–25 tax year is reduced to nil. This is because the adjustment amount ($\$3,500 \div 33\% = \$10,606.06$) exceeds Syd's tax loss of \$9,000.

If tax is written off, and the taxpayer has residential rental losses ([¶7-365](#)), the loss is also forfeited by dividing the amount of tax written off by 33% or 28% if the taxpayer is a company. With effect from 1 April 2024, a similar treatment will also apply if the taxpayer has excess deductions under s [EL 20](#) as a result of property disposed of under the bright-line test (s [177C\(5BA\)](#)).

The Commissioner is required to extinguish all or part of excess imputation credits carried forward ([¶12-110](#)) on a one-for-one basis. If the taxpayer has both a tax loss carried forward and a credit of tax carried forward from excess imputation credits, the Commissioner must extinguish the tax loss carried forward first (s [177C](#) of the TAA).

Standard practice statements

Standard practice statement, [SPS 18/04](#), “Options for relief from tax debt” summarises the Commissioner’s practice when considering options for removing or deferring the obligation to pay tax, interest and/or penalties.

[SPS 19/05](#), “Options for relief from child support debt” sets out the Commissioner’s practice for providing relief when the immediate payment of an overdue child support or domestic maintenance obligation is not possible. Relief is provided in the form of an agreement to pay the debt in instalments, writing off penalties in certain situations or, in limited circumstances, writing off part or all of the child support debt.

[SPS 20/05](#), “Student loan repayment — options for relief” sets out the Commissioner’s practice for providing relief in relation to student loans. It covers relief from payments for:

- # overdue student loan repayment obligations
- # student loan repayment obligations not yet due and for the current tax year, and
- # penalty and late payment interest imposed on overdue student loan repayment obligations.

When providing relief, the Commissioner may:

- # refrain from issuing a notice of assessment and may write off a student loan repayment obligation not more than \$20
- # refrain from the collection of any student loan repayment obligation payable that is more than \$20 but less than \$334 (excluding late payment interest)
- # reduce any amount that must be paid by a borrower for the current, or next, tax year
- # reduce a repayment obligation for a previous tax year (the amount not collected is capitalised and will remain on their loan)
- # agree to an instalment arrangement to repay an unpaid amount
- # refund any amount paid for the previous or current tax year, and
- # cancel some or all the late payment interest if it would be equitable to do so.

Law: TAA ss [3\(1\)](#) (“[outstanding tax](#)”, “[relief company](#)”), [176](#), [177](#), [177A](#), [177B](#), [177C](#), [177CA](#)

Last reviewed on 31 December 2025

Early-payment discount of income tax [¶2-123]

[¶2-123]

[Click to open document in a browser](#)

To reduce small business tax compliance costs, “small-business persons” (see below) are entitled to an early-payment discount of income tax. The purpose of the discount is to encourage the payment of income tax in the income year before the income year in which the small-business person is required to pay provisional tax. This avoids the requirement to pay both terminal tax and provisional tax in the second year of business, which, in some cases, may lead to serious cash flow problems and financial difficulties.

Small-business person

A “small-business person” is defined as a taxpayer who satisfies all of the following criteria:

- # the business is conducted on the person’s own account — the taxpayer is acting alone or as a partner in a partnership, or as the owner of a look-through company
- # a company or a trust is not used to conduct the business, and
- # the income derived is predominantly from the business and not from interest, dividends, royalties, rents or beneficiary income.

Broadly, the early-payment discount will apply only to self-employed people and individuals who receive income from partnerships or look-through companies.

When the early-payment discount applies

A small-business person is entitled to the early-payment discount if all of the following conditions are met:

- # the small-business person has no obligations to pay provisional tax in the income year under s [RC 3\(3\)](#) because their residual income tax for the preceding year is \$5,000 or less
- # income tax payments are made for the income year on or before the small-business person’s balance date for the income year
- # for the period from the small-business person’s balance date for the income year to the taxpayer’s terminal tax date for the income year, a credit of tax is held in an account with the Commissioner of at least:
 - # the amount of tax paid for the income year before the person’s balance date, or
 - # the amount of terminal tax payable for the income year before the application of the early-payment discount

whichever is the lesser, and

for earlier income years, the small-business person has never been required to pay provisional tax and:

- # has never received an early-payment discount, or
- # has not derived assessable income from a business in the four income years beginning after the latest income year for which the early-payment discount has been received, or
- # has not derived assessable income from a business in the four income years beginning after the latest income year for which the taxpayer was required to pay provisional tax.

In effect, the early-payment discount must be claimed before the small-business person is required to pay provisional tax. A small-business person who is required to pay provisional tax before receiving self-employed or partnership income is not entitled to the early-payment discount.

Application for discount

To claim the early-payment discount, a small-business person must file a tax return for the income year that the discount is claimed and also apply for the early-payment discount on or before the due date for filing the tax return for the income year that the discount is claimed.

Amount of discount

The early-payment discount is calculated on:

- # the amount of income tax paid for the income year on or before balance date, or
- # 105% of the small-business taxpayer's residual income tax for the income year

whichever is the lesser.

The discount rate may be prescribed by Order in Council or, in the absence of such an Order, the rate is 2% greater than the Commissioner's paying rate for the use-of-money interest at the end of the preceding tax year. The rate has been set at 6.67% for the 2024–25 income year, and 6.30% for the 2025–26 income year.

The discount is given by way of credit to the small- business person's income tax account.

Credit for discount treated as payment of income tax

A credit for an early-payment discount is treated as a payment of income tax. The payment is treated as being made on the day after the last day of the income year for which the discount is claimed.

Example:

Maddie has been a full-time mother for the last five years. During that time, she has neither derived any income from a business nor has she been required to pay provisional tax. Maddie started up a new business on 1 July 2024. On the advice of a friend who is a chartered accountant, Maddie makes voluntary income tax payments for the 2024–25 income year amounting to \$9,000. The payments are all made before 31 March 2025 (Maddie's balance date). Maddie's first year of business is better than she expected. Her residual income tax for the 2024–25 income year is calculated to be \$15,000. Maddie files her 2024–25 tax return on 30 June 2025 and also applies for the early-payment discount. Assuming no discount rate has been prescribed by Order in Council, the amount of Maddie's early-payment discount is \$600 (ie 6.67% of \$9,000). This amount is credited to Maddie's 2024–25 income tax account and is treated as an income tax payment made by Maddie on 1 April 2025.

Law: IT07 ss [RC 37–RC 40](#)

Last reviewed on 31 December 2025

Time for payment of terminal tax [¶2-125]

[¶2-125]

[Click to open document in a browser](#)

The due dates for payment of terminal tax are set out in [¶22-012](#). Persons who have paid provisional tax for any year are required to furnish returns and make an assessment of their taxable income and tax liability for the year. Provisional tax paid by a person for any year is then credited against the person's income tax liability for the year, any unpaid tax for any previous year and any unpaid (and due) income or provisional tax for any later year. Any excess after crediting the provisional tax is refunded to the person. If the provisional tax is less than the income tax assessed for the year, the person is required to pay the amount of any difference to the Commissioner. This is called a terminal tax payment.

Persons with a standard balance date (ie those who have a balance date of 31 March) will generally have a due date for terminal tax of 7 February. However, if they are linked to a tax agent, the terminal tax date is 7 April. Terminal tax payment dates for persons with non-standard balance dates, and provisional taxpayers, fall on the 7th day of the month as specified in Sch [3](#) to the Act. See [¶22-012](#). However, if the month is January, the due date will be the 15th.

Law: IT07 ss [LB 2](#), [RA 3](#), [RA 13](#), [RB 1](#)

Last reviewed on 31 December 2025

Refund of excess tax [¶2-145]

[¶2-145]

[Click to open document in a browser](#)

The Commissioner is required to refund tax if it represents an excess over the tax properly payable, the amount has arisen on an original assessment, and the Commissioner is satisfied of the entitlement to the refund. In the case of an amount that has arisen on an amended assessment, the Commissioner is only required to refund tax (which includes refundable tax credits) if the Commissioner is satisfied of the entitlement to the refund before the end of the relevant 4-year time bar in s [108](#) of the TAA ([¶14-110](#)), any extended period for applying for a tax credit allowed under s [78B](#) of that Act, or the 7-year period for amendment of assessments under s [GC 13\(6\)](#) (Calculation of arm's length amounts).

Similarly, the Commissioner must refund tax paid by a person as a result of an amendment to an assessment that increased the amount of tax payable if the Commissioner is satisfied that the amount represents an excess over the tax properly payable and the relevant 4-year time bar period has not ended.

A taxpayer may claim a refund from an amended assessment outside the time bar period where the refund arises due to a past personal service rehabilitation payment.

All tax refunds are made by direct credit into a person's bank account (or an account nominated by the person). The only exception is if the Commissioner is satisfied that paying by direct credit would result in undue hardship to a person, or is not practicable.

Offset against outstanding tax liabilities

After applying the provisions in the IT07 that limit the amount of refund, a refund payable to a person under ss [RM 2](#) and [RM 4](#), including a refundable tax credit under s [LA 5\(5\)](#), may be applied by the Commissioner in payment of an outstanding taxable amount payable under either the IT07 or any other IR Act. The refund may be applied in accordance with a tax transfer request made under the tax transfer rules ([¶2-148](#)) or, if no request has been made, in such order or manner as the Commissioner may determine. However, note that a refund relating to overpaid RWT or NRWT or WFF tax credits or arising from an election to carry back a loss may only be applied towards an outstanding tax liability if requested by the taxpayer.

A refund of a FamilyBoost tax credit ([¶11-200](#)) may be applied to satisfy a liability that a person has in respect of any significant over payment by the Commissioner of the credit.

Law: IT07 ss [LA 5\(5\)](#), [RB 4](#), [RM 2](#), [RM 4](#), [RM 10](#); TAA s [184A](#)

Last reviewed on 31 December 2025

Tax transfers [¶2-148]

[¶2-148]

[Click to open document in a browser](#)

Taxpayers or their agents can request transfers of overpaid tax to other tax periods or to other tax types or to other taxpayers (see below for tax types covered). A key issue in relation to transfers of excess tax is the effective date of transfer because the effective date is relevant to the calculation of tax (including provisional tax) payable and has an impact upon the liability for use of money interest on underpayments of tax. The tax transfer rules set out the effective date of a transfer of excess tax and remove the confusion that previously surrounded the issue.

Tax transferred under the tax transfer provisions is treated as a refund to the transferor and a payment by the transferee on the date of transfer, except for the purpose of imposing a shortfall penalty.

For the purposes of the tax transfer provisions, “tax” includes child support, student loan repayments, amounts payable in relation to a loan made under the small business cashflow scheme, and the charitable donations tax credit. For the rules regarding the transfer of excess child support, see [¶12-038](#).

Generally, overpaid tax may be transferred within a person's account and to any other person.

Transfers of excess tax within the taxpayer's accounts or to another taxpayer are limited to the total of the amount in debt and/or in dispute in the requested period. This limit only applies to transfers to earlier periods, not to future periods. A similar limit applies under s [173S](#) in relation to transfers of interest. Note also that the effective transfer date of GST refunds (ie when GST inputs exceed GST outputs) is different from that of GST overpayments (ie when a taxpayer overpays their GST liability).

Transfer of tax to another period or tax type

Where tax is transferred to another period or tax type of the same taxpayer, the effective date of the transfer can be chosen by the taxpayer and will be:

- # in the case of a GST refund (under s [19C\(8\)](#) or s [20\(5\)](#) of the GST Act), the applicable date set out below
- # in the case of tax withheld or deducted on the taxpayer's behalf, a day after the end of the accounting year in which the amount was withheld or deducted (except for early balance date taxpayers, who must choose a day after the end of the tax year in which the amount was withheld or deducted, and except for taxpayers who have filed a tax return for the tax year in which the excess tax arises before the end of that tax year, who must choose the day on or after the date the return is filed)
- # in the case of a tax credit for expenditure on research or development, a day after the end of the accounting year to which the credit relates (except for early balance date taxpayers, who must choose a day after the end of the tax year corresponding to the accounting year to which the credit relates)
- # in the case of a FamilyBoost tax credit, a day after the end of the quarter to which the credit relates, and
- # in any other case, a date that occurs on or after the date the excess tax is paid.

The effective date for GST transfers is:

- # for those taxpayers who file their return before the due date, the earlier of:
 - # the day on which the return is filed, or
 - # the day after the end of the GST return period in which the refund relates.
- # for taxpayers who file their return on the due date, the day after the end of the GST period in which the refund arose, and
- # for taxpayers who file after the due date, the day the return is filed.

Transfer of tax from one taxpayer to another

Tax may be transferred from a taxpayer to:

- (1) a company in the same group of companies
- (2) a shareholder–employee of the taxpayer
- (3) a company in which the taxpayer is a shareholder–employee
- (4) a partner in the same partnership
- (5) a relative
- (6) a trustee of a family trust of which the taxpayer is a beneficiary
- (7) a tax pooling intermediary's tax pooling account
- (8) another taxpayer not listed above, or
- (9) if the taxpayer is a trustee of a family trust, a beneficiary of the trust.

Effective date

In the case of transfers listed from (1) to (6) and (9), the effective date of the transfer is the same as that discussed above. In the case of a transfer listed in (7), the effective date of the transfer is the date of the request or a later date.

In the case of a transfer listed in (8), the effective date of the transfer is the later of the following dates:

- # a date occurring on or after the date of the request, and
- # a date occurring after the date the relevant return is filed for the period in which the excess arose.

If an effective date of transfer is not chosen by the taxpayer or their agent, the transfer may be made on a date the Commissioner considers to be appropriate. If the Commissioner determines the effective date of transfer, the taxpayer or their agent may subsequently request an effective date as outlined above.

Where the Commissioner has applied all or part of a taxpayer's overpayment in satisfaction of tax (or another amount) due, the taxpayer or their agent may request that the Commissioner apply all or part of the overpayment on a date allowed by ss [173L](#) and [173M](#) (see above).

Charitable donations tax credit refund

The transfer (requested by a taxpayer) of a refund arising from the charitable donations tax credit is effective only on the later of:

- # a day occurring on or after the date of request, and
- # a day occurring after the date on which the application for the charitable donation tax credit is made.

Transfers of interest

Taxpayers or their agents may also request transfers of interest paid by the Commissioner on overpaid tax. The effective date of such a transfer is the date on which the interest would have been payable by the Commissioner under the interest rules had the request for its transfer not been made.

Definitions for tax transfer provisions

There are specific definitions of "family trust" and "relative" for the purposes of the tax transfer provisions (s [173M\(5\)](#) and [\(6\)](#) of the TAA).

"Family trust" means a trust established primarily to benefit:

- (a) a natural person for whom the settlor has natural love and affection
- (b) an organisation or a trust with income that is exempt under s [CW 41](#) or [CW 42](#) of the IT07 (ie charitable entities), or
- (c) a natural person who satisfies (a) and an organisation or a trust that satisfies (b) above.

"Relative" means a person connected by blood relationship (being parent and child), marriage, civil union or de facto relationship or adoption.

Specifically in relation to transfers of overpaid provisional tax, see [¶22-140](#).

Companies

Specific provision is made for companies that have paid excess tax that is retained by IR because of insufficient imputation credits. The excess amount that has not been refunded or allocated within a wholly-owned group of companies can be credited as at a date on which the company has no provisional tax liability but has underpaid residual income tax subject to use of money interest (s [RM 16](#)).

Unclaimed money

If a taxpayer is entitled to a payment of unclaimed money from the Commissioner, the taxpayer or their agent may request the Commissioner transfer all or part of the unclaimed money to a tax type and period of the taxpayer as if it were excess tax (s [173V](#)).

Operational position

Operational position, [OP 20/01](#), "Part [10B](#) transfers of excess tax, effective date of ICA entries" considers the effect on the imputation credit account (ICA) of both transferor and transferee companies of requests to transfer tax to a date in the past.

The Commissioner considers the correct position is that an ICA must have entries recorded as at the date of transfer, ie the effective date chosen. It is not appropriate to record the entries as at the later date IR processes the request to transfer excess tax.

The operational position states the Commissioner will adjust, and apply the correct view of the law, when an audit or investigation uncovers incorrect ICA entries or where incorrect entries are identified when processing a transfer request to an earlier period. However, the Commissioner will not devote resources to identifying adjustments to ICA accounts and assessments affected by an incorrect transfer date being used for a transfer of excess tax under Part [10B](#) of the TAA where transfers have been requested before 5 February 2020.

Amending memorandum accounts when making transfer from previous years

From 30 March 2022, amendments are permitted to ICA and M#ori Authority credit account (MACA) entries that result from a transfer of tax from a previous period to be made on the date the taxpayer requests the transfer, rather than the effective date chosen by the taxpayer, provided certain conditions are met.

Law: IT07 ss [RM 10\(2\)](#), [RM 16](#); TAA ss [3\(1\)](#) ("tax"), [173K–173O](#), [173S](#), [173T](#), [173V](#)

Last reviewed on 31 December 2025

Offset of excess tax when assessment reopened [¶2-150]

[¶2-150]

[Click to open document in a browser](#)

On the investigation of a taxpayer's returns over a number of years, it may be found that tax has been overpaid. At the Commissioner's discretion, subject to limits on refunds and allocations of tax, any such overpaid tax within that group of years may be offset against tax payable in respect of any of the other years covered by the investigation.

Law: TAA s [166](#)

Last reviewed on 31 December 2025

Small amounts of refund or tax payable [¶2-155]

[¶2-155]

[Click to open document in a browser](#)

The Commissioner has a discretion to write off tax, refrain from making an assessment, or refrain from collecting tax if the balance of the tax payable is not more than \$20 or the tax paid, withheld or deducted is not more than \$5.

Law: TAA s [174AA](#)

Last reviewed on 31 December 2025

Refund of tax subsequently exempted by Order in Council [¶2-160]

[¶2-160]

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The Commissioner may refund tax previously paid that is subsequently exempted by any Order in Council arising out of a double taxation agreement if application for the refund is made within 4 years after the date on which the Order in Council that gives effect to the double taxation agreement comes into force. The time limits for the payment of tax refunds ([¶2-145](#)) do not apply in this case.

Law: TAA s [184](#)

Last reviewed on 31 December 2025

Recovery of tax [¶2-165]

[¶2-165]

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The Commissioner has special powers enabling them to enforce payment of income tax under Pt 10 of the TAA. They have the power to impose civil penalties, and to sue in the District Court for overdue tax (although s 86 of the District Court Act 2016 may give the defendant the right to require the proceedings to be transferred to the High Court). The Commissioner also has the power to require deductions from employers, PAYE intermediaries or sub-debtors in respect of overdue tax of employees or head debtors and to require periodic deductions from bank accounts. Any action or remedy for the recovery of tax is not barred by the Limitation Act 2010 or any other statute prescribing a limitation period. Normally, action for recovery of outstanding simple debts may not be taken after the expiry of 6 years from the date the debt was incurred. In proceedings for the recovery of tax, costs may be awarded to or against the Commissioner.

Law: TAA ss [156](#), [157](#), [161](#), [163](#)

Last reviewed on 31 December 2025

Recovery of tax from agent [¶2-175]

[¶2-175]

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The Commissioner has full power to recover the overdue tax of a principal from the actual or constructive agent of that principal. However, any person who pays tax on behalf of another is entitled to recover the amount of the tax from that other person. They may recover that money as a debt or by retaining that sum from any moneys due to that other person.

Law: TAA s [165](#)

Last reviewed on 31 December 2025

Recovery of tax deductions from bankrupt/liquidated employer or PAYE intermediary [¶2-180]

[¶2-180]

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It has generally been considered that the Commissioner is simply an unsecured creditor with no preferential powers of recovery in the event of the bankruptcy or liquidation of the employer, or the PAYE intermediary, with any trust under s [167](#) ceasing on the bankruptcy or liquidation.

This was confirmed by the Supreme Court in *Jennings Roadfreight Ltd (in liq) v C of IR (No 2)* ([2014](#)) [26 NZTC ¶21-108](#). In an earlier decision, the Court of Appeal had concluded that where s [167\(1\)](#) applied the trust remained in existence upon liquidation and therefore the Commissioner was entitled to payment of the PAYE owing, as opposed to being subject to the ranking provided for in Sch [7](#) of the Companies Act 1993. Only if the PAYE has not been dealt with properly and fell within s [167\(2\)](#) would the Sch [7](#) ranking apply. However, the Supreme Court allowed the appeal by Jennings and confirmed that upon the liquidation of Jennings the unpaid (and overdue) PAYE was dealt with under s [167\(2\)](#) and was therefore subject to the Sch [7](#) ranking. Section [167\(1\)](#) does not apply to such amounts, unless (possibly) unpaid PAYE deducted has been segregated by the employer in a separate account. Amounts of PAYE that fall due for payment after liquidation will, however, remain subject to s [167\(1\)](#). See further at [¶16-850](#).

Where the PAYE has not been dealt with properly and falls within s [167\(2\)](#), the Commissioner does have priority in regard to unpaid PAYE tax, certain ACC levy deductions, and KiwiSaver employer contributions, where the employer is an individual. The Commissioner's priority to these deductions ranks immediately after preferential claims for wages or other sums payable to any of the bankrupt's employees. Where the employer or the PAYE intermediary is a company in liquidation, the Commissioner's priority to unpaid tax deductions has the ranking provided for in Sch [7](#) to the Companies Act (see [¶16-850](#)), whether or not the company is incorporated or registered under that Act. The Official Assignee, when carrying on the business of a bankrupt, is personally liable to pay the income tax imposed on the revenue profits earned during the period they are carrying on that business.

Example:

The Court of Appeal overturned a judgment of the High Court and held that the payments of outstanding PAYE, GST, and penalties made by a company before liquidation could not be set aside by the liquidator. Briefly, the company was served with a statutory demand for the outstanding taxes approximately two and a half months before it was placed into voluntary liquidation. All outstanding taxes were paid about a month before liquidation. The Commissioner conceded that at the times the relevant tax payments were made the company was unable to pay its due debts. It was held that the amounts retained by the employer-company as PAYE deductions were subject to a trust in favour of the Commissioner under s [167\(1\)](#) of the TAA. As such, they did not form part of the estate in liquidation. The statutory trust created by s [167\(1\)](#) of the TAA did not require the employer to keep a separate bank account for the PAYE deductions, nor could the trust be terminated by the employer's failure to pay the deductions to the Commissioner on time (ie s [167\(2\)](#) of the TAA does not terminate the trust created by s [167\(1\)](#)). It was further held that s [167\(2\)](#) of the TAA did not apply in this case as the tax payments were made before the company being put into liquidation. See *C of IR v Smith* ([2000](#)) [19 NZTC 15,541 \(CA\)](#).

Law: TAA s [167](#)

Last reviewed on 31 December 2025

Recovery of excess tax credits [¶2-185]

[¶2-185]

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Section [165A](#) of the TAA makes it clear that the Commissioner has the power to recover excess tax credits that have been allowed to a taxpayer. The power of recovery under s [165A](#) is expressly subject to:

- # the rules for recovering FamilyBoost tax credits (see below)
- # the use of excess tax credits to settle income tax liability and treatment of remaining credits (ss [LA 3–LA 5](#) and [¶11-010](#))
- # refund or repayment of foreign tax (s [LJ 7](#))
- # tax credits that are available for use in the next tax year (s [LK 4](#)).

The Commissioner's powers of recovery are the same as those, with necessary modifications, for income tax payable by a person.

In the case of FamilyBoost tax credits, only significant over payments or credits arising out of false or misleading claims may be recovered (s [41C\(5\)–\(7\)](#)).

Law: TAA s [165A](#)

Last reviewed on 31 December 2025

Attachment notice/notice to deduct [¶2-190]

[¶2-190]

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The Commissioner can recover outstanding tax liabilities by requiring people holding funds payable to the person to pay those funds directly to the Commissioner. Known as “attachment notices” or “notices to deduct”, the notices cover such tax liabilities as income tax, GST, interest (including daily interest), KiwiSaver contributions and penalties. Section 157 of the TAA specifically covers income tax liabilities, but similar provisions are contained in the Goods and Services Tax Act 1985 (s 43), the Child Support Act 1991 (s 154), the Student Loan Scheme Act 2011 (s 193), the Gaming Duties Act 1971 (s 12L) and the various Accident Compensation Acts. The power of the Commissioner to issue notices under s 157 was considered by the High Court in *Chesterfield Preschools Ltd v C of IR* (2005) 22 NZTC 19,275.

Attachment notices are also used to recover tax debts from absconding debtors from other jurisdictions. The definition of “income tax” in s 157 includes an amount of unpaid tax subject to Pt 10A (tax recovery agreements) of the TAA. Also, for the purposes of s 157, the term includes amounts paid to a provisional tax pooling account, an amount payable in relation to a loan made under the small business cashflow scheme (¶1-530), and an amount payable in relation to a grant made under the COVID-19 support payments scheme.

Whether amounts may be attached

The payments that the Commissioner may attach include salary and wages and certain money held on deposit with a “bank” (as defined in s 157(10)) and can extend to amounts that become payable to the person subsequent to the date of the notice.

Before 21 December 2010 the Commissioner could not, in most circumstances, attach any funds held in a joint account if the other person or persons who held the account were not tax defaulters. See, for example, *C of IR v ANZ Banking Group (New Zealand) Ltd* (1998) 18 NZTC 13,643. However, this position was changed so that the Commissioner can attach funds held in a joint bank account where the defaulting taxpayer can make withdrawals from the account without the signature of the other person.

Funds may also be attached where the legislation in question gives the Commissioner the specific authority to attach funds held in joint accounts — as is the case with debts owed to the Commissioner under the Child Support Act or the Working for Families tax credit provisions in the IT07 (s MF 5(2)).

How Commissioner exercises the power of attachment

To exercise these powers of attachment, the Commissioner must give notice requiring the person owing moneys to the taxpayer to deduct a specified sum. The deduction may be in one lump sum or by instalments. The sum specified in the notice is the amount up to which the deduction is required to be made. Any amount deducted in accordance with this procedure is credited towards reduction of the arrears of tax or penalty owing when received by the Commissioner. A copy must be provided to the taxpayer at the time the notice is given. Any amount deducted under this procedure is to be held in trust for the Crown and is recoverable as if it were income tax payable by the person who made the deduction.

Example:

If a bank receives a payment from which the tax is to be deducted, the bank is deemed to be holding the whole of the payment in trust for the Crown. If the bank does not deduct the tax, the amount may be recovered from the bank. The bank is the deemed agent of the taxpayer and an indemnity applies in respect of such deduction.

A pay as you earn (PAYE) intermediary is also subject to the Commissioner's powers of attachment.

The Commissioner may require an employer to make deductions from a person's wages or salary without the Commissioner having to concurrently notify the taxpayer employee. The Commissioner still has the general requirement to issue a copy of the deduction notice to the taxpayer. However, the Commissioner is not prevented from issuing the deduction notice where the Commissioner cannot issue a copy of the notice because, after making reasonable inquiries, the Commissioner does not have the person's most recent address.

Maximum level that employers may deduct

There is a cap on the amount the Commissioner may require an employer, or a PAYE intermediary, to deduct each week from the salary or wages payable to an employee who is in arrears with payment of tax. The maximum amount that can be deducted is the greater of:

- # 10% per week of the tax due or 20% of gross salary or wages, whichever is the lesser, or
- # \$10 per week.

Example:

Ida owns the "Plants 'R' Green" nursery, specialising in citrus trees. The nursery is expanding rapidly, so she employs Bella. Bella owes \$1,768.50 in unpaid taxes from the time she had been self-employed as a line dance instructor. Ida receives a s [157](#) notice, requiring her to deduct amounts from Bella's pay of \$295 per week. Ida must deduct either \$59, which is the lesser of 10% of the unpaid taxes (\$176.85) or 20% of the wages (\$59), or \$10, whichever is the greater. As \$59 is greater than \$10, Ida must return this amount under the s [157](#) notice.

Example from *Tax Information Bulletin* [¶69-106 Vol 6, No 9](#), February 1995 at 8.

Since an attachment order interferes with the rights of the person, the legislation authorising it must be followed exactly. See *Anzamco Ltd (in liq) v Bank of New Zealand* ([1982](#)) 5 NZTC 61,249.

The Commissioner has the power to issue an attachment notice to "any person" who owes money to a defaulting taxpayer. The High Court has held that there is no reason why the Commissioner cannot herself, as the creditor of one person (ie where tax is owing), give notice to herself as the debtor of another person (ie where a tax refund is due to that person). See *FB Duvall Ltd v C of IR (No 2)* ([1998](#)) 18 NZTC 13,943.

Interest payable

The sum specified in the notice of the amount to be deducted may include a daily amount of interest. This interest is calculated daily commencing on the date of the notice and ending on the day the sum required by the notice is deducted or extracted (s [157\(1A\)](#) and [\(1B\)](#) of the TAA).

Deduction notices: standard practice statement

Standard practice statement [SPS 21/01](#), "Deduction notices", April 2021, deals with IR's power to issue a deduction notice to recover outstanding amounts of tax from any third party. The statement also provides guidance on how the Commissioner will use such notices.

Note: The Commissioner has released an exposure draft setting out IR's updated practice on the issue of deduction notices. See [ED0245](#), "Deduction notices", October 2024. The Commissioner's practice as set out in the exposure draft remains largely the same as that set out in [SPS 21/01](#). The exposure draft also notes that the Commissioner will not usually issue a deduction notice where the taxpayer has made an application for financial relief that is actively being considered.

Failure to comply with attachment notice

Every person, other than an employer, who fails to make any deduction required by the Commissioner under an attachment notice or who, having made the deduction, fails to pay it to the Commissioner within the time

specified in the notice is liable on summary conviction to a fine not exceeding \$25,000 for the first offence and up to \$50,000 for subsequent offences, but is not liable to pay interest or civil penalties.

Law: TAA ss [143A](#), [157](#), [157A](#)

Last reviewed on 31 December 2025